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1. The Real Competitiveness Trap

Author: Unknown Author | **Date:** Jun 30, 2026 | **Original:** <https://www.project-syndicate.org/commentary/eu-competitiveness-problem-is-financialization-not-price-of-labor-by-mariana-mazzucato-2026-06>

LONDON—Throughout the developed world, you hear the same anxious story. From Brussels to Washington, political and business leaders warn that our economies have grown uncompetitive because wages are too high, and regulation too burdensome. Make labor cheaper and deregulate, we are told, and private investment will abound.

This diagnosis may sound like common sense to some. But we now have ample evidence and real-world experience to know that it is dead wrong. In a new study for the European Trade Union Confederation, my colleagues and I followed the money to test this hypothesis, analyzing the financial records of Europe's 300 largest publicly listed non-financial corporations over the last 25 years. Our findings should trouble policymakers both in Europe and beyond. For two decades, capital has been abundant and cheap, and corporate profits strong; yet investment, productivity, and wages have stalled. The binding constraint on growth has not been the price of labor, but the allocation of capital.

Our study details how large firms maintain healthy profit margins for their shareholders even as real operations are squeezed. Companies increasingly earn their keep as financial actors—collecting interest on bonds or treasuries, receiving dividends, and lending to their own customers—rather than as producers. As a result, shareholder payouts have grown faster than the profits that fund them. Not only does the non-financial corporate sector in Europe now save more than it invests, but since 2009, it has been a net lender to the rest of the economy—a striking inversion of its historic role.

When the profits of Europe's largest firms are increasingly routed into share buybacks, dividends, and financial assets rather than into production and innovation, the result is a mounting social cost of misdirected capital. As the returns on productive capital fall, it becomes more attractive to put each additional euro into financial assets than toward a new factory or laboratory. Across the firms we studied, the capital stock is in net depletion; and across Europe's non-financial corporate sector, net capital formation has more than halved as a percentage of GDP since 2000, from 3.7% to 1.6%. For every euro of profit Europe's non-financial corporations earned, the share reinvested—net of depreciation—in new productive capacity more than halved, falling from 18.9% in 2000 to just 7.4% in 2024.

Workers have paid for this continued financial accumulation. Labor's share of income in the real economy (excluding finance, insurance, real estate, and the public sector) is lower today than it was in 2000, and it is still declining in several major European countries. More than two-thirds of the companies we examined had announced restructuring events—putting 2.7 million European jobs at risk—and nearly 80% of those announcements came from firms that booked a profit the same year.

The implication is that jobs were cut not as a response to losses, but as a tactic for lifting returns. Over the past quarter-century, profits grew almost twice as fast as wages in the non-financial corporate

sector, and shareholder payouts grew even faster. The gains from two decades of profit growth have flowed to capital, not to the workers who produced it.

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This problem is hardly unique to Europe. It reflects the logic of financialization that has taken hold globally. But this process rests on a mistaken theory of value that cannot distinguish between creating value and extracting it. As I show in *The Value of Everything*, the economics discipline has forgotten the difference between profits earned by producing and rents captured by owning. Until we correct for this fatal flaw, the risks of innovation will continue to be borne collectively—by taxpayers, publicly-funded research, and workers—while the rewards are captured ever more narrowly.

None of this is inevitable. Financialization is a policy outcome, reflecting choices that were shaped by corporate-governance rules, tax codes, state-aid regimes, and fiscal rules. The task for government is not just to make capital cheaper or more abundant (cheap capital does not become productive investment on its own). It is to change the terms on which capital is deployed and shared. That requires binding conditions on public support; public investment that shares in both risk and reward, rather than merely de-risking private returns; and corporate governance oriented toward the long term rather than the next quarter.

These ingredients form the core of what I’ve called a modern, mission-oriented industrial strategy. The key is not to pick winners, but to pick the willing—shaping investment flows through bold public missions, and forging well-designed, symbiotic public-private partnerships that steer growth toward real social and environmental value. NASA did not discourage innovation when it included “no-excess-profit” clauses in the procurement contracts that got us to the moon and back in 1969. On the contrary, it created a solutions-oriented system that both solved real problems (what the astronauts would wear and eat, and how they would go to the toilet) and fostered growth on Earth.

Similar collaborations are required for climate change, which raises questions about what we eat, how we move, and which materials we use to build. Across all these challenges, workers belong at the center, not the margins. As Damon Silvers and I argued during the 2023 US autoworkers’ strike, a green transition that does not also deliver good jobs will lack the political support it needs to succeed. Workers and unions are not an afterthought; they must be part of the institutional infrastructure that governs the economy, which is why we need a new social contract between business, labor, and the state.

I believe the argument for a new economics is making headway. In my new book, *The Common Good Economy*, I develop a compass that can help navigate the process. We must move from merely correcting market failures toward resetting the objective—what Aristotle called the telos of the polis. The “what” and the “how” both matter. Only by paying as much attention to the relationships between capital and labor, public and private, and the state and civil society can we begin to transform our economies. Competitiveness and justice are not opposing goals. The real choice is between an economy that rewards extraction and one that builds the shared foundations of lasting prosperity.

2. How to Empower Africa's Multilateral Development Banks

Author: Unknown Author | **Date:** Jun 30, 2026 | **Original:** <https://www.project-syndicate.org/commentary/africa-multilateral-development-banks-must-be-better-capitalized-by-hippolyte-fofack-2026-06>

WASHINGTON, DC—Boosting the capital base of multilateral development banks (MDBs) in Africa has been a perennial problem. Finding a solution—which has taken on new urgency as international development institutions continue to scale down concessional financing—requires examining the underlying causes.

For starters, the structural asymmetries embedded in the global financial system have resulted in capital flows from low-income African countries to rich countries, a pattern known as the Lucas Paradox. African countries have allocated their hard-earned foreign reserves and institutional savings to low-yield securities outside the continent, while confronting exceedingly high borrowing costs on international markets.

Credit-ratings agencies such as Moody's, Fitch, and S&P exacerbate this dynamic by assigning most African countries sub-investment-grade scores, despite their relatively low default rates. These sovereign ceilings obstruct African MDBs' access to affordable long-term capital and restrict their capacity to leverage the continent's expanding pool of domestic savings.

Compounding the challenge is Africa's fragmented monetary and financial landscape, which constrains African MDBs' ability to mobilize capital at scale. Compare the African Export-Import Bank and the Export-Import Bank of China, both of which were established in the early 1990s as policy banks with a mandate to foster trade and international cooperation. But at about \$8.4 billion, Afreximbank's capital base remains significantly smaller than China Eximbank's \$22 billion. More broadly, the assets of three Chinese policy banks account for more than 26% of Chinese GDP, whereas African MDBs' assets total just 2–4% of the continent's GDP.

This is why, to meet its development needs, Africa should leverage the more than \$4 trillion held by the continent's pension funds, mutual funds, insurers, commercial banks, sovereign wealth funds, and central-bank reserves to strengthen regional MDBs. The African Development Bank estimates that, with the necessary reforms, the continent could mobilize an additional \$1.43 trillion from domestic sources. At the same time, it will also be necessary to pursue monetary and capital-market integration, use innovative financing mechanisms, and forge stronger partnerships.

This strategy rests on five pillars. The first is periodic capital increases from shareholders to bolster MDBs' lending capacity. African governments (many of which remain undercapitalized), major private-sector firms, and non-regional partners should regularly increase their paid-in and callable capital contributions to African MDBs. Wealthier African economies and strategic international partners are well-positioned to lead these efforts.

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Second, instead of investing domestic savings abroad or holding them in low-return assets, African countries should emulate Ghana, which allocates 5% of its state pension fund to local private equity and venture capital, and has signed new frameworks to channel retirement savings into infrastructure and small-enterprise investment vehicles. Similar reforms in other countries would unlock more patient capital for development.

Third, African MDBs should expand their use of hybrid capital instruments, blended finance, guarantees, and securitization structures to crowd in private capital. Green bonds and climate-linked instruments are particularly promising, as are diaspora bonds, which could mobilize patriotic capital while providing secure, long-term investment opportunities.

The fourth pillar is to increase tax collection, especially by curbing illicit financial flows and tax evasion and avoidance by multinational corporations, which cost Africa billions of dollars each year. Strengthening tax administration and improving digital revenue systems would help retain more African wealth within the continent’s financial system.

The last pillar is deepening monetary integration and strengthening regional capital markets. This would do much to mobilize domestic savings, decrease transaction costs, and plug financial leakages. Projections for Afreximbank’s Pan-African Payment and Settlement System indicate that the region could save more than \$5 billion annually by implementing an integrated payment and regional settlement mechanism.

Better-capitalized African MDBs would yield benefits that are difficult to overstate. They would help fast-track the implementation of the African Continental Free Trade Area, driving the development of regional value chains, deepening integration, and boosting industrialization. This transformation is necessary for African economies to move from exports of basic raw materials to higher-value processing and innovation. It would also generate organic growth for MDBs’ balance sheets.

With the better credit ratings implied by improved capitalization, African MDBs could more easily access international capital markets, enabling them to act as both “project-taking” and “project-making” organizations. In their new role as proactive first-movers, they could crowd in significantly larger pools of private and institutional capital for projects that individual states cannot fund alone.

Ultimately, African MDBs are a strategic investment in the continent’s economic development. Failure to capitalize them risks leaving Africa trapped in a debilitating cycle of dependency and vulnerability to external shocks. With stronger MDBs, Africa would be better positioned to industrialize at scale, increase its participation in global value chains, and emerge as a major driver of global growth in the 21st century.

3. Why the Gulf Needs Economic Ties with Iran

Author: Unknown Author | **Date:** Jun 29, 2026 | **Original:** <https://www.project-syndicate.org/commentary/gulf-economic-ties-with-iran-provide-would-strategic-insurance-by-adeel-malik-and-jamal-ibrahim-haidar-2026-06>

OXFORD/BEIRUT—The US-Israeli war against Iran has shattered the Gulf's old security order. As governments search for alternatives, debate has focused largely on military strategy, diplomatic realignments, and the role of outside powers. Missing are the economic foundations of a lasting peace.

Recent moves to expand Omani-Iranian trade and revive the Hejaz Railway linking Turkey to Saudi Arabia suggest that economic integration, once dismissed as politically impossible, is becoming conceivable. Whatever order emerges from the current crisis, its durability will depend not only on deterrence but also on economic incentives that make conflict costly.

In an influential 2015 essay, the Nobel laureate economist Douglass North and the Stanford social scientists Gary Cox and Barry Weingast described what they called the “violence trap.” As trade, investment, infrastructure, and production become interconnected, economic complexity raises the cost of violence. Restraint becomes economically rational, because states, firms, and citizens have more to lose.

The Gulf remains trapped in the opposite equilibrium. Violence persists not because regional actors are irrational, but because the incentive structure keeps the expected returns of conflict relatively high. In many respects, the Gulf is a single economic space with a common stake in energy infrastructure, shipping routes, financial markets, and shared environmental challenges. But political fragmentation into competing blocs allows proxy warfare, infrastructure sabotage, and asymmetric attacks to impose enormous regional costs while imposing only limited costs on those who initiate them.

A more economically integrated Gulf would overturn this calculus. Dense commercial ties act as a commitment device, making disruption prohibitively expensive and embedding stability within the region's economic architecture. Security is generated from within, through organic economic linkages.

This perspective helps explain the paradox that one of the world's wealthiest regions has failed to achieve durable peace. The rivalry between Iran and Gulf Cooperation Council (GCC) members divides what is naturally a shared regional system connected by geography, energy resources, and complementary markets.

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For decades, external security guarantees, primarily by the United States, managed this rivalry without removing its underlying incentives. Security effectively became a traded commodity, with

hydrocarbons and capital exchanged for military protection. States overinvested in deterrence and underinvested in regional economic integration.

This model's weaknesses are becoming increasingly visible. The Gulf is among the world's most heavily militarized regions yet remains structurally vulnerable. Drone warfare has transformed the strategic landscape. Relatively inexpensive weapons can now disable infrastructure worth billions of dollars. Even forward-deployed American military bases have become vulnerable targets rather than bulwarks of stability.

Most Gulf observers agree that the old security order is dying. But none of the most commonly proposed options—buying more advanced weapons, seeking protection from new partners in the Global South, or building stronger national militaries—is adequate to achieve a stable peace. More hardware does not solve the problem of asymmetric vulnerability. Turning to partners such as Pakistan or Turkey may lower the cost of protection, but it would expose them to the same regional conflicts and domestic political constraints that limit reliability.

Building capable national militaries is even less viable. Smaller GCC states lack the population needed, while for the larger states—especially Saudi Arabia—strong professional armed forces create a political dilemma. A military strong enough to defend the state may also be strong enough to challenge it.

So, if stability cannot be purchased through arms alone, it must be built by changing the economic incentives that sustain conflict. Critics will argue that economic integration is unrealistic given decades of mistrust between Iran and its Gulf neighbors. But trust does not necessarily precede cooperation; often, cooperation gradually creates trust by making predictable interaction more valuable than confrontation.

Postwar Europe transformed centuries of rivalry by integrating strategic industries and creating common markets that made conflict increasingly irrational. Economic interdependence altered incentives long before political disagreements disappeared.

The Gulf itself has a long history of commercial integration. For centuries, Iranian and Arabian ports were connected by trade, migration, finance, and family networks that crossed the Gulf with remarkable ease. Dubai's emergence as a regional commercial hub partly reflects these longstanding cross-Gulf connections. The current equilibrium of sustained hostility is relatively recent.

Nor is cooperation merely theoretical. Qatar shares the South Pars gas field with Iran and has maintained functional bilateral economic relations. Oman has long served as a trusted diplomatic and commercial bridge between Iran and its Arab neighbors. Selective engagement is possible even without comprehensive political reconciliation.

There is also a broader structural argument for integration. The GCC states are relatively small economies whose prosperity depends on trade, capital mobility, and open networks. Long-term stability for such states is rarely compatible with rigid geopolitical alignment.

Just as prudent investors diversify portfolios to reduce risk, Gulf states should diversify the foundations of their security, beginning modestly. Gulf states and Iran could revive dormant dialogues on maritime safety, environmental protection, disaster response, and infrastructure resilience, issues where mutual interests are obvious and political costs are relatively limited.

A second stage could introduce selective economic openings, including logistics cooperation, investment guarantees in non-strategic sectors such as agriculture and pharmaceuticals, and coordination on shared energy infrastructure. These measures would increase the economic costs of disruption without requiring comprehensive political normalization.

Over time, such initiatives could evolve into a permanent regional forum linking economic cooperation with security restraint and creating mechanisms to manage disputes before they escalate into crises. External partners, including the US, could reinforce existing security commitments by recognizing that regional economic integration complements rather than undermines military deterrence.

Without greater economic cooperation, the Gulf will continue spending vast sums on a defense architecture now vulnerable to inexpensive asymmetric disruption, while security itself remains elusive. Economic cooperation should therefore be understood not as a concession to Iran but as a form of strategic insurance.

The Gulf does not need to trust Iran, resolve every ideological dispute, or abandon existing alliances. It simply needs to create an economic environment in which instability becomes progressively more expensive than coexistence.

This is not a utopian vision. It is a pragmatic strategy for reducing risk in an era when military superiority alone can no longer guarantee security. The Gulf's next security order will depend not only on weapons or alliances, but on the economic ties it chooses to build.

4. Is a European Single Market for Energy Such a Good Idea?

Author: Unknown Author | **Date:** Jun 26, 2026 | **Original:** <https://www.project-syndicate.org/commentary/european-energy-single-market-political-risks-vs-economic-rewards-by-brigitte-granville-2026-06>

LONDON—Whatever happens with the US-Iran peace process and global energy prices, the strategic implications of this year's supply disruptions are already clear. The crisis is further confirmation of the need to phase out fossil fuels, both to mitigate climate change and to strengthen energy security. But for Europe, which remains heavily dependent on imported energy, some less obvious implications may ultimately prove more consequential. To address the precipitous decline in its share of global GDP this century, Europe must lower its energy costs.

European de-industrialization stems not just from the decline of energy-intensive output such as chemicals, fertilizers, and steel, but also from the fact that European industries pay twice as much for electricity as their US and Chinese competitors. As long as that remains true, the continent will fall behind in the industries of the future, not least AI, which depends on power-guzzling computing power.

We have all heard the optimistic pitch for a transition from imported fossil fuels to domestically produced, price-competitive renewable energy. But like the energy crisis triggered by Russia's 2022 invasion of Ukraine, the latest shock has helped to expose the wishful thinking behind this vision. Solar and wind power may be generated domestically, but the industry is far from indigenous. Renewables depend on far-flung supply chains dominated by China. Though the cost of the equipment is constantly falling, the drop is but a fraction of the full cost of keeping the lights on amid the transition to renewables.

For example, Europe still needs massive investment in transmission networks, owing to the growing share of electricity in total energy consumption and the distance that many renewables facilities are from existing grids. The burden of recovering these costs will ultimately fall on electricity consumers.

Moreover, electricity prices have been inflated by the intermittency of renewable power—implying a need for battery storage or alternative energy sources when the sun isn't shining, and the wind isn't blowing—and by the EU's two-decade drive to create frontier-free wholesale power markets. This combination calls attention to the divide between national and "federal" (EU-wide) energy agendas—an issue that is poised to come to a head in next year's French presidential election.

The EU's internal electricity market uses a marginal pricing model, whereby the most expensive megawatt hour needed to meet all demand sets the price for the entire market. Since the marginal supply source (to plug gaps when the sun does not shine or the wind does not blow) is electricity generated by gas turbines, the price recently spiked when the closure of the Strait of Hormuz disrupted Qatari gas exports.

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Textbook microeconomics shows why this model is efficient for Europe as a whole. The same logic underpins former European Central Bank President Mario Draghi’s recommendation to remove as many internal barriers as possible across European product and services markets. But a better outcome for Europe overall could still be a bad deal for countries producing abundant low-carbon electricity at minimal marginal cost. Chief among these are solar-power-rich Spain and Portugal and nuclear-powered France.

The construction of France’s nuclear power stations and the associated transmission grid long predate the dominant role of climate change in energy-policy discussions. Now, France’s longstanding emphasis on national security and self-reliance has positioned it well for the energy transition. It generates clean and secure power at low marginal cost, with the bulk of fixed costs already absorbed. But the benefits for French competitiveness are diluted by the effects of EU-wide marginal pricing, and this has not gone unnoticed. The far-right National Rally has already seized on the issue as it continues to build support ahead of the 2027 presidential election.

Fragmented electricity markets may well be sub-optimal for the European economy overall, just as there are serious shortcomings to having a monetary union without a fiscal union. But economically rational integration—whether in energy markets or state budgets—risks provoking political backlashes that could blow up the European project.

Moreover, even if Europe as a whole ends up making some economic sacrifice in the name of political prudence, the trade-off could have silver linings. Each European region and country will face its own set of challenges in replacing fossil fuels with electricity that is both low-carbon and competitively priced relative to global peers. The most plausible path to optimal solutions therefore may require trial and error, and such experimentation is obviously best pursued at the national, rather than the European, level.

With this bottom-up approach, the aggregate cost of errors for Europe overall may be lower. And since there would be implicit competition between each country, all would be motivated to discover optimal strategies tailored to their own needs.

The United Kingdom has already shown what can go wrong when you put all your eggs in one basket. Energy economist Dieter Helm notes that the country is now in a “lamentable” position, owing to an ill-considered renewables push that raised industrial electricity prices to twice the level in Europe (whose own energy prices are far from competitive). At the same time, Spain and Portugal show what national-level pilot schemes can achieve: During its sun-soaked daytime hours, the Iberian Peninsula generates more power than it needs.

True, enhanced inter-connectors between the Iberian Peninsula and France could give other European consumers more access to abundant, cheap electricity. But France has objected to such arrangements, and not just because it wants to protect its nuclear plants from Spanish competition. During the

nighttime hours, especially when the wind is not blowing, French nuclear plants (which reliably generate power around the clock) might be called on to balance the Iberian grid, whose fragility was laid bare by a blackout last year. Although battery storage has become an increasingly promising solution to the intermittency problem, the costs and timelines for building such infrastructure remain unclear.

Ultimately, it seems utopian to think that European national governments could agree on fair, politically acceptable cost-sharing across European energy markets. The energy conundrum casts doubt on the claim that “more Europe” is a silver-bullet solution to the continent’s competitiveness challenges. Sometimes less is more. If each country is tasked with executing its own energy transition, governments will be properly incentivized to deliver low-carbon, low-cost electricity, and those with the most promising models will attract the most investment and high-value employment.

A good analogy is the idea of “competing currencies,” which the UK offered as a counterproposal to the monetary union promoted by France in 1990. The level playing field required for effective competition would be secured at the EU level through rigorous carbon pricing. This price signal would then prevent countries’ energy policies from undermining common goals, thus ensuring that its accommodation of political constraints does not become a hostage to zero-sum nationalism. As always, Europe must strike a careful balance between economic and political prudence.

5. China's Failed Rebalancing

Author: Unknown Author | **Date:** Jun 26, 2026 | **Original:** <https://www.project-syndicate.org/commentary/chinese-economy-consumer-led-rebalancing-has-failed-by-stephen-s-roach-2026-06>

NEW HAVEN—China's efforts to rebalance its economy have been an abject failure. Nearly two decades after former Premier Wen Jiabao bemoaned the Chinese economy's excessive dependence on investment- and export-led growth, the problem has gone from bad to worse. The lack of meaningful consumer-led rebalancing implies increased reliance on these time-worn sources of economic activity, raising critical questions for China and the rest of the world.

As the first Western economist to stress China's perspective on the need for such rebalancing, I am especially disappointed to write these words. I remember sitting in a Beijing meeting room in March 2007, watching Wen's press conference following the conclusion of the National People's Congress. There was a small group of us in attendance, including some senior Chinese officials, when Wen uttered his now-famous critique of China's economic structure. While seemingly strong on the surface, he cautioned, the economy was becoming increasingly "unstable, unbalanced, uncoordinated, and unsustainable."

There was an audible gasp from the Chinese officials present in the room, who translated the premier's remarks and underscored their significance, presaging a vigorous debate in the country's policy community. I went back to my hotel room and wrote my first piece on China's rebalancing imperative, which became the basis for my testimony before the US Senate Finance Committee nearly two weeks later.

I stressed China's newfound sense of urgency to shift its development model from investment and exports to consumer-led growth. I underscored the other structural changes this shift would entail: moving from manufacturing to services, and from excess saving to saving absorption, which would lower the current-account surplus and fund a larger social safety net. I took Wen's "four uns," as I later dubbed them, as an important signal from the Chinese leadership of its readiness to do what was necessary to rebalance the economy. I was convinced that it was a matter of when, not if.

But it's high time to face reality. China's retail sales fell 0.6% year on year in May 2026, an unexpected drop following an anemic 0.2% increase in April, and the first monthly decline in three and a half years. Meanwhile, the latest reading of household consumption as a share of GDP is just 39.9%—virtually identical to the 2005 level (39.8%), which Wen had in hand when lamenting the "four uns" in early 2007. Given that the latest reading is from 2024, and that Chinese consumption showed continued weakness in 2025 and early 2026, there is good reason to believe that the economy's current proportion of consumption has fallen below Wen's 2005 benchmark.

Several explanations for this outcome have been put forward: a protracted property crisis, the low share of household income, post-COVID scarring, demographic shifts, and high youth unemployment. My favorite explanation has long been an inadequate social safety net, which boosts fear-driven

precautionary saving, that, in turn, inhibits discretionary consumption. While all these factors could very well be at work, excess precautionary saving is, in my view, the most important longer-term structural impediment to Chinese consumer demand.

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Whatever the explanation, these developments have not gone unnoticed by senior Chinese leaders. President Xi Jinping recently emphasized the strategic importance of boosting domestic demand, which Premier Li Qiang’s March 2026 “work report” also stressed. Unfortunately, this has been trotted out as a priority so often over the past two decades that it has lost all credibility. While it is encouraging that China’s State Council recently relaxed some hukou restrictions, making migrant workers’ access to social insurance more portable, much more is needed to reduce household insecurity and end the cycle of overpromising and underdelivering.

Some dismiss the failure of China’s consumer-led rebalancing as a statistical mirage, especially because it purportedly excludes government support for “social transfers in kind” like education, health care, cultural amenities, and subsidized food. While there may be some technical validity to this claim, it does not change the bottom line: household consumption as a share of Chinese GDP—whether adjusted or unadjusted—is no higher today than it was when Wen Jiabao first drew attention to the issue.

This inertia has two worrying implications. First, the Chinese people remain on the outside looking in. The state, state-owned enterprises, and private companies continue to reap a disproportionate share of the fruits of Chinese economic development. This calls into question the prospects for the continued growth of the middle class, long seen as the aspirational beneficiary of prosperity in the People’s Republic of China.

Second, subpar consumption suggests that China will continue to rely on exports and investment to drive growth, especially the technology-led “new quality productive forces” that Xi Jinping continues to underscore. Yes, China set a lower GDP growth target of 4.5–5% for 2026, roughly half the spectacular 9.3% growth trajectory from 1980 to 2020. But with China’s share of world GDP (in terms of purchasing power parity) nearly ten times bigger than it was in 1980, its exports now have a far greater impact on global GDP. By some estimates, China’s share of global manufacturing (in terms of value added) will rise from around 30% today to an astonishing 45% by 2030. The rest of the world is unlikely to be receptive to such an outcome, broadening the prospects of anti-China protectionism, from the United States to Europe.

Wen Jiabao may be China’s forgotten premier, but the contradiction he highlighted in 2007—growth without rebalancing—remains the country’s greatest macroeconomic challenge. I have warned about this for years. And now, amid all the talk of China’s global ascendancy, the country’s failure to address its rebalancing imperatives could well end up being its Achilles’ heel.

6. Managing Sino-American Interdependence

Author: Unknown Author | **Date:** Jun 25, 2026 | **Original:** <https://www.project-syndicate.org/commentary/us-china-interdependence-must-be-managed-not-abandoned-by-qiyuan-xu-2026-06>

BEIJING—Last month’s summit between US President Donald Trump and Chinese President Xi Jinping signaled that the Sino-American relationship is moving from intense confrontation back toward something more stable. Both sides have committed to fostering a “constructive relationship of strategic stability.” Their disagreements have not disappeared, but each has come to realize that continued escalation is costly, dangerous, and unsustainable. Competition must be governed by rules, and disputes must be managed.

This judgment rests on sound strategic logic. During the Cold War, the prospect of “mutually assured destruction” prevented the United States and the Soviet Union from engaging in a head-to-head military conflict. Neither side trusted the other, but both understood that there could be no real winner from an escalatory war between nuclear powers.

A similar logic applies to the US-China economic relationship. Of course, economic interdependence is not the same as nuclear deterrence, and the potential costs of misjudgments do not rise to the same level. But in a world of intertwined global value chains, the US and China have undeniably developed a relationship of “mutually assured economic pain.” If either side tried to cripple the other through full decoupling, extreme pressure tactics, or moves to sever supply chains, it would also harm its own firms, consumers, and financial markets.

This marks an important change in great-power relations. Historically, countries that went to war had only limited economic ties. Even in the case of World War I and II, trade had expanded, but much of it was between different industries. Only after World War II did trade become increasingly intra-industry, and now the US-China economic relationship has gone further. It is both deeper and broader than earlier forms of great-power economic interdependence.

In the mid-2020s, the US and China are not merely buying from and selling to each other. Their economies are deeply embedded in the same production systems, innovation networks, and financial markets. To escalate a bilateral conflict is to invite serious harm to oneself. This is true of war, and it is true of comprehensive decoupling.

Although economic interdependence does not automatically prevent war, it does raise the cost of allowing a conflict to spiral out of control. It serves as a kind of insurance policy or stabilizing force, but only when countries respect basic boundaries, keep channels of communication open, and recognize the importance of avoiding dangerous miscalculations.

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The Russia-Ukraine war offers a sobering example of how things can go wrong. Before the war, Europe and Russia were closely connected through their energy trade. But that relationship did not prevent hostilities. The problem lay in the nature of the dependence, which was too concentrated in one sector, structurally asymmetric, and easily weaponized once political relations had deteriorated. The lesson is not that economic interdependence is an ineffective bulwark of peace, but that it must be balanced and properly managed.

In recent years, many countries have emphasized de-risking, supply-chain security, and strategic autonomy. These concerns are understandable. The COVID-19 pandemic, new wars, sanctions, and technology restrictions have all underscored the vulnerabilities and trade-offs that come with globalization. But if every form of interdependence is treated as a security threat, and every economic link as a source of strategic weakness, the world risks replacing one form of danger with another. De-risking may escalate to decoupling, and the pursuit of supply-chain security may trigger a direct confrontation between global blocs.

A more fragmented world would not be a safer one. The constraints that great powers impose on one another would be weaker, and the risk of conflict much greater. The goal therefore is not to end interdependence, but to make it safer, more balanced, and more governable. We must build resilience while remaining open, preserve cooperation while still competing, and maintain communication despite disagreements. De-risking should have limits, security policies should be proportionate, and strategic competition should have guardrails.

This vision aligns with the ancient Chinese concept of *he er bu tong* (和而不同): “harmony without uniformity.” Harmony does not mean eliminating differences, but it does mean that differences do not lead to confrontation. In modern international relations, this idea can be enshrined through institutional inclusiveness. We need an international order that can accommodate major powers with different systems, development paths, and interests within the same global framework.

The recent US-China summit was significant because it highlighted the shared realization that two nuclear powers that are deeply embedded in the global economy cannot make escalation a long-term strategy. US-China relations will naturally continue to involve competition and friction. But if both sides can keep the competition within rules, limit security concerns to reasonable boundaries, and turn interdependence into a stabilizer rather than a weapon, they will have created a foundation for peace.

Interdependence cannot guarantee peace, but without it, peace will become more fragile. The task for the US and China now is to make their interdependent relationship more balanced, rules-based, and governable. The alternative is a far more dangerous world.

7. Who Gains in an AI-Supercharged Economy?

Author: Unknown Author | **Date:** Jun 25, 2026 | **Original:** <https://www.project-syndicate.org/commentary/ai-economic-growth-where-value-will-lie-by-joseph-h-davis-2026-06>

PHILADELPHIA—At Vanguard, we anticipate 3% US GDP growth in 2027, an estimate that is noticeably higher than other professional forecasts, implying continued strong support for risk assets. Such growth will not represent an incremental improvement, but rather a fundamental shift in the economy's growth trajectory. Following a data-rich study of current AI capabilities and how the technology compares to other game-changing technologies of the past, we foresee an economic sea change.

In fact, AI is already boosting economic activity, even if it may be another year or two before we know for sure whether it will be as transformative an economic force as the personal computer. For our forecast to prove true, AI will need to move past its current automation phase, where it simply replaces human tasks, through an augmentation phase, where it makes workers better at their jobs, and eventually enables products, services, and industries that we have not yet envisioned. Today's focus is on automation, but it is the realization of these last two phases that will determine whether AI ever becomes a general-purpose technology.

Before electricity became economically viable, few people imagined electric streetcars, movie theaters, or household appliances. A similar expectation that AI will mature into a general-purpose technology makes us sanguine about the prospects for the labor market. Concerns about job displacement are understandable, but doomsayers who envision a dystopia of sidelined prime-age workers tend not to think about the jobs that have yet to be created.

Nor do they give enough attention to the higher incomes (and spending) that would come from workers boosting their productivity tenfold. Just ask accountants how their lives changed after computer software transformed their field. Their output increased dramatically. Disruption need not only mean automation. Moreover, fully realized AI would unlock productivity gains that would compensate for—and likely exceed—the headwinds of aging populations, declining fertility, and reduced immigration.

Still, the journey from AI investment to widespread productivity enhancements will unfold over years, not quarters. (We can look to 1997, during the internet buildout, for a historical parallel.) The current investment phase has at least a year or two to run, despite its eye-watering scale to date. Deep-pocketed AI hyperscalers appear capable of following through on their historic capital commitments, and companies are deploying AI tools in earnest.

Markets, however, have raced ahead of economic reality. Equity valuations, particularly for large-cap US technology companies, already assume much of AI's potential upside. For the next year or two, strong earnings growth from AI-enabling investment can perhaps justify these valuations and may well

drive markets even higher. But that's a near-term phenomenon. Over longer horizons, the mathematics of investing tends to shift, especially during periods of rapid technological change.

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History offers a clear lesson here. The companies building transformative technologies rarely capture the greatest long-term value. Instead, those benefits accrue to the users. Electricity created more wealth for manufacturers that could run assembly lines around the clock than for power utilities. The automobile enriched suburban developers and retailers more than the automakers themselves.

AI may well reproduce this pattern. The current buildout phase—dominated by hyperscalers, chip makers, and foundation-model developers—will give way to a consumption phase where end users across industries derive the greatest benefits. Such businesses are currently trading at value-oriented multiples, and many are outside the United States in service-oriented economies with aging populations, where more productive workforces will be a blessing.

What types of companies may benefit? Health-care providers will have ample opportunity to automate administrative tasks and enhance diagnostic accuracy. Financial services firms will be in a position to deliver even more personalized advice at an even lower cost. Business services companies could augment human expertise with AI-powered analysis. Such companies are starting to explore where they can automate tasks, and they will reap the rewards if AI eventually augments workers' skills and fulfills its promise.

Of course, we cannot say with certainty that AI will positively transform the economy. But there will be clues: younger workers entering the labor force with AI-enhanced skills; startup creation accelerating outside the technology sector; and more frequent, genuine discoveries (such as a breakthrough in medicine) from AI-assisted research. As these patterns emerge, we will likely be seeing AI's economic transformation in its infancy. It will look much like the path that electricity and the PC took.

The opportunity that is beginning to emerge lies in recognizing that markets may be correctly assessing AI's economic potential while incorrectly pricing where the benefits will accrue over the full cycle. Value-oriented US equities, non-US developed markets, and high-quality fixed income all offer compelling risk-return profiles—defensive if AI falters, opportunistic if it succeeds—over the coming five to ten years.

The point is not to abandon technology exposure or try to time the market. It is to recognize that in an AI-transformed world, we will have moved from the current phase, where AI builders dominate, to one where AI users should increasingly command attention. It happens every time a great technology transforms the world. For long-term investors, this future transition represents both a risk to manage in growth-heavy portfolios and an opportunity to seize ahead of the AI revolution's next phase.

8. Development in a Time of Disruption

Author: Unknown Author | **Date:** Jun 25, 2026 | **Original:** <https://www.project-syndicate.org/commentary/technological-disruption-could-create-opportunities-for-leapfrogging-development-by-keun-lee-2026-06>

SEOUL—Development was once understood as a simple matter of applying the models developed in economies created. But, as my research has shown, there is a catch-up paradox: a country cannot conclusively catch up with, let alone overtake, its forerunners merely by imitating them. Instead, latecomers should take advantage of emerging technologies to “leapfrog” those ahead of them.

Fundamentally, leapfrogging means doing something new before those who were once ahead of you. The rise of wireless communications technologies enabled a number of developing economies to bypass fixed-line telephony altogether. But true leapfrogging is what happened next: some of these countries (perhaps most famously Kenya) developed innovative mobile payment systems, without ever having built traditional banking systems or using services like credit cards.

The point is not just to bypass outdated technologies, but to lead in new markets. South Korea’s leap into digital technology, for example, enabled it to surpass its forerunner Japan. While South Korean champion Samsung built global dominance in digital televisions, Japan’s Sony remained stuck in its ways, continuing to invest in and produce analog TVs.

This incumbent trap also ensnared the American firm Motorola, which remained committed to analog mobile phones, instead of developing digital phone alternatives that it considered less stable. The choice was not irrational: Motorola, like other firms that fall into the incumbent trap, had invested massively in achieving superiority in an existing technology, and did not want to throw that away. In the end, however, it was left behind.

For latecomers, the key to successful catch-up cycles, which bring changes in industrial leadership, is to recognize the window of opportunity created by emerging technologies to forge a new path. As Ha-Joon Chang of the University of Cambridge pointed out in 2002, once firms and economies ascend to market dominance, they often kick away the ladder behind them and use patents, trademarks, and other intellectual-property protections to erect entry barriers in established markets. Other advantages, such as existing economic complexity, scale, and capacity, strengthen their position further.

Leapfrogging effectively amounts to using a hot-air balloon to ascend where there is no ladder. Of course, this requires the latecomer to have certain resources and capabilities. But once those are in place, it is largely a matter of identifying the right weather conditions: a balloon is likely to find a clearer path and far more lift amid a shift in technological paradigms, or during exogenous moments of disruption or “creative destruction.”

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Even under the most favorable of conditions, no flight is risk-free. Countries must choose the right technologies to focus on, and confront the costs of building new markets. This is as true in advanced economies as it is in developing ones. First movers like Tesla initially faced huge losses, and survived only because of generous public-sector support (in Tesla's case, from the US Department of Energy and California's state government), as well as venture capitalists and financial markets.

But such support is no guarantee of success. The US firm Solyndra arrived on the scene in 2005 offering more efficient solar-panel technologies based on thin films instead of silicon, and four years later, it secured a \$535 million loan guarantee from the Department of Energy. But losses accumulated, and in 2011, the firm filed for bankruptcy.

Simply put, becoming a first mover is a high-risk, high-reward strategy. For those unwilling to undertake it—or unable to bear big losses on the way to success—a parallel-mover strategy offers an alternative. In this scenario, a company simultaneously develops multiple types of products alongside industry leaders. In automobiles, Germany's Volkswagen is an incumbent; China's BYD is a leapfrogger; and Korea's Hyundai is a parallel mover, balancing the development of combustion-engine and electric vehicles.

China's leapfrogging has partly been a matter of geopolitical necessity. Last month, Huawei unveiled a new chip-design principle it calls the Tau Scaling Law. Instead of continuing to make transistors smaller, as Moore's Law would dictate, Huawei is seeking to accelerate communication across electronic systems. A key motivation to develop this approach is undoubtedly US sanctions, which restrict the Dutch company ASML from exporting its extreme ultraviolet lithography machines to China.

The new chip design reflects China's broader approach to development, which has never followed the Western model. China's leaders have always understood that attempting to overtake the US without changing lanes virtually guarantees a collision. Even as the two countries compete in cutting-edge technologies like AI, their strategies are fundamentally different, with China focusing more on building open-source models that can be implemented broadly and the US emphasizing proprietary frontier models.

Leapfrogging has played a powerful role in making successful catch-up cycles possible, and will continue to do so. Given the economic transformation that is currently underway, emerging and developing economies should be working to identify where opportunities match their capabilities and resources. Managing first-mover risks effectively—or adopting a more cautious parallel-mover approach—will be vital to success.

Advanced economies have something to learn, too. No matter how dominant a firm was yesterday, or remains today, the incumbent trap can be a death sentence.

9. Trump's Un-American Capitalism

Author: Unknown Author | **Date:** Jun 24, 2026 | **Original:** <https://www.project-syndicate.org/commentary/trump-thuggery-capitalism-corruption-cronyism-against-democracy-and-economic-growth-by-joseph-e-stiglitz-2026-06>

NEW YORK—President Donald Trump claims that electing “socialist” Democrats would put the United States on the path to becoming Venezuela or Cuba. But Trump’s own actions, as is often the case, fly in the face of what he says and what his Republican Party supposedly stands for. Far from continuing to champion capitalism and free enterprise, Trump’s GOP no longer supports either.

What has distinguished American-style capitalism is strict private ownership of firms. Under Chinese- and Russian-style capitalism, the government owns seemingly ordinary firms through corrupt arrangements that ultimately serve political leaders and their cronies—a system bearing little relation to the kind of economy that one studies in an introductory economics course. But now, the US is on the same path as Russia and China.

I have long argued that there is more scope for government intervention in the US economy through industrial policy, and that regulation is needed in many areas to align private interests and the public good. But I have always argued that such interventions must be institutionalized, following impersonal, transparent processes that avoid even the appearance of political favoritism.

The Republican Party, by contrast, has tacitly endorsed Trump’s thuggish capitalism, a model nothing like the rules-based market economy that conservatives used to endorse. It is thus no surprise—but very worrying—that the Trump administration is reportedly in discussions that could lead Anthropic, OpenAI, and other AI firms “voluntarily” to cede “shares to the government,” just as Putin has “voluntarily” received support from Russia’s oligarchs.

From Russia and China to Saudi Arabia (where wealthy elites were detained in the Riyadh Ritz-Carlton for three months in 2017-18, until they handed over sufficient shares in their holdings), businesspeople have learned not to challenge the government. Alibaba founder Jack Ma and former Russian oligarchs like Mikhail Khodorkovsky and Boris Berezovsky can attest to that.

Trump may not go to the same extremes as Putin or Xi, but his basic approach is the same. His administration’s treatment of Anthropic is reminiscent of how the Chinese government dealt with Ma when he dared to criticize regulators. After suddenly slapping an export ban on Anthropic’s most advanced tools earlier this month, the administration is holding new “discussions,” presumably to extract additional concessions from the country’s fastest-growing AI lab.

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The administration already took decisive steps in this direction last August, when it demanded that Nvidia and AMD give the US government a 15% cut of their sales to China in return for lifting export bans. In this case, Trump openly traded national security (the purported justification for the bans) for a few billion dollars of extorted revenue. Less than two weeks later, Intel “voluntarily” gave the government a 10% stake in exchange for financial support that it was already supposed to receive under the CHIPS and Science Act, enacted in 2022.

Meanwhile, in response to the growing public demand for AI regulation of some kind, Trump recently signed an executive order calling for AI developers to subject themselves to regulation in limited contexts. But the text of the document clearly reflects the influence of tech oligarchs like Mark Zuckerberg and Elon Musk. For example, it states explicitly that: “Nothing in this section shall be construed to authorize the creation of a mandatory governmental licensing, preclearance, or permitting requirement for the development, publication, release, or distribution of new AI models, including frontier models.”

Administration officials claim that these moves toward state capitalism will ensure that everyone benefits from AI. But if that was really the goal, they would support taxes on corporate profits, which exist to ensure that the benefits of economic activity are shared, in recognition of the fact that corporations themselves have benefited from public goods. Instead, this administration has undermined corporate taxation. In the 1970s, taxes on corporate profits generated revenues equal to 2.6% of GDP, whereas today they raise only half that, even though corporate profits as a share of GDP have almost doubled.

In any case, for anyone who thinks Trump and his cronies are acting out of concern for the average American, I have a bridge in Brooklyn to sell you. This is the most corrupt administration in US history—by orders of magnitude. Nothing this government does is above board. Every stake it takes in the private sector is driven by favoritism or senior officials’ personal investments, and the resulting economic distortions will only continue to mount.

The GOP’s brand of capitalism has far-reaching implications. First, and most importantly, it undermines democracy, moving us ever closer to oligarchy, where politically connected elites determine policy. Second, it also undermines American prosperity. A core insight from modern economics and economic history is that strong institutions, including the rule of law, are essential to achieve sustained improvements in living standards.

Trump’s thuggery is the antithesis of the institutional foundation on which the US economy was built. The winners in the new oligarchic competition are not those who make the best products or are the most innovative (in terms of AI, that title would seem to belong to Anthropic at the moment). Rather, it is those who are the least principled, and the best at flattering the mad king. Is anyone surprised that Sam Altman, the CEO of Anthropic’s flailing competitor, OpenAI, first pitched the idea of government shares to the Trump administration?

The government has legitimate reasons both to promote nascent industries and to regulate those where private profits could be misaligned with the public interest—as is manifestly the case with AI. But these market interventions must adhere to the rule of law and submit to oversight from independent institutions, rather than being conducted through opaque, ad hoc self-dealing.

With Trump at the helm, America is doomed to join all the other countries suffering under crony capitalism, rather than those that have demonstrated what a successful industrial strategy looks like. Its economy, democracy, and national security are all being sacrificed to satisfy the bottomless cupidity of Trump and his flatterers.

10. Can the Manchester Model Save Britain?

Author: Unknown Author | **Date:** Jun 24, 2026 | **Original:** <https://www.project-syndicate.org/commentary/can-andy-burnham-apply-manchester-growth-model-nationally-by-diane-coyle-2026-06>

CAMBRIDGE—Following Keir Starmer’s resignation as the United Kingdom’s prime minister, Andy Burnham, the popular Labour politician who just won a seat in parliament in a special election, appears more likely than ever to succeed him. Whether or not this happens, however, the political drama has focused attention on the UK’s second city, Manchester, where Burnham served as mayor for nearly a decade.

Known internationally for its football clubs and music scene, Greater Manchester has become the UK’s fastest-growing region. Investment has been flowing in, especially to sectors like professional services and technology. Visitors note the buzz of outstanding restaurants, a vibrant art scene, and plenty of construction.

The model that produced this success began coming into focus in 2009, when the Manchester Independent Economic Review panel—of which I was a member and lead author—shared the seven analyses it had commissioned with the UK Treasury and then-Shadow Chancellor of the Exchequer George Osborne. Our report emphasized the importance of long-term investment in skills, especially in children’s early years, and transport.

As Ed Glaeser of Harvard University observed in 2003, long-run urban success depends on the ability to respond to challenges. A strong human capital base is vital to this ability, just as it is to individuals’ ability to seize the opportunities a growing city has to offer. Building this base was therefore our top policy recommendation.

The second priority—transport—similarly aimed to expand opportunity. Reliable and accessible public-transport links help to create a “thick” labor market, in which workers are connected to more potential employers. In a country where authority is exceptionally centralized, the review also made the case for devolving some spending and decision-making powers to a new Combined Authority for the Manchester City region.

A decade later—two years after Burnham became mayor—I chaired the Greater Manchester Independent Prosperity Review, which had been tasked with producing an updated economic assessment. The review again emphasized skills, labor-market transitions, and infrastructure, but added a focus on the innovation ecosystem.

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If there is another review in 2029, I would gladly take part. But the mere fact that such assessments are being conducted periodically highlights two features of Manchester's success: openness to a thorough and pragmatic analysis of the economy's strengths and weaknesses, and, equally important, strategic intent.

Reviving a deindustrialized and depressed region is a long game. By the time the 2009 review took place, a generation of civic leaders—notably, Chief Executive Howard Bernstein and elected Council Leader Richard Leese—had spent years building a political coalition in favor of devolving some powers to the city. And since 2009, the city's leaders, including Burnham, have stuck with the same broad set of policies. This stability contrasts sharply with the policy churn seen at the national level.

The strategy for reviving Greater Manchester is not without dissenters. It has been guided by the understanding that economic growth is a prerequisite for anything else political leaders might want to do, including addressing large inequalities among the city's boroughs. But for some critics of the city's leadership, the contrast between the shiny new skyscrapers in the city center and the more deprived areas beyond it is offensive.

Nonetheless, there has been enough buy-in to sustain a long-term effort to strengthen the foundations of growth. The results speak for themselves. Greater Manchester has the UK's largest light-rail and tram network—one of only eight in the country—which has been incrementally expanded since its 1992 inauguration. And it has become the first region outside London in almost 40 years to bring all local bus services under local control as part of the Bee Network, which Burnham introduced in 2021.

Burnham is sometimes mocked for his enthusiasm for the Bee Network. But the service could not be more important to Manchester's future prosperity. Local buses account for three-fifths of all public-transport journeys in the UK. If congestion in most cities is ever to be solved, these networks will have to be expanded.

Beyond improving residents' everyday lives, Manchester's leaders have built a platform for growth centered on its universities and innovation ecosystem. This reinvention has been decades in the making, and until recently, the results looked disappointing. But once the virtuous cycle of growth was activated, progress accelerated—and became self-reinforcing.

Can the UK's likely next prime minister replicate the Manchester model at the national level? Not entirely. Local authorities are better equipped than national leaders to identify their region's needs, coordinate across functions, and build consensus. And the sheer number of challenges a prime minister must confront dwarfs that faced by any municipal government.

But the core lessons of the Manchester model do apply. Ensuring that people have the skills and infrastructure they need to find jobs, get to work, and build their businesses is vital to growth. And it can be achieved only if the authorities stick with their strategy for the long term. As Ernest Hemingway had one of his characters famously observe, bankruptcy happens “gradually and then suddenly.” The same is true of prosperity.

11. The Microfinance Debate Is Missing the Point

Author: Unknown Author | **Date:** Jun 23, 2026 | **Original:** <https://www.project-syndicate.org/commentary/stop-asking-whether-microfinance-works-by-sophie-sirtaine-and-buhle-goslar-2026-06>

LISBON/WASHINGTON, DC—Over the past five decades, microfinance has grown into a \$1.5 trillion global industry, reaching hundreds of millions of households that conventional banks have never served and likely never would. It has enabled unbanked people around the world to start businesses, build assets, keep children in school, and withstand shocks that might otherwise have been devastating.

Yet microfinance has also faced vocal criticism. In some markets, rapid expansion has outpaced consumer protections, leading to over-indebtedness and encouraging lenders to prioritize commercial interests over client welfare.

These concerns should be taken seriously. Any industry that serves millions of people—from consumer goods to construction and manufacturing—has had to confront issues like poor governance, bad actors, and harmful practices by strengthening safeguards and improving standards. Microfinance is no exception.

For too long, however, the industry has been focused on the wrong question: Does microfinance work? Decades of randomized controlled trials, whose findings on average were often treated as definitive yes-or-no verdicts, have reinforced a deeply misleading framing. Asking whether microfinance works is like asking whether a certain medicine works without specifying the patient, dose, or condition being treated.

A recent analysis by the CGAP—an inclusive finance innovation lab (of which one of us is CEO)—helps move the conversation forward. Drawing on more than 400 impact studies, it replaces the facile question of whether microfinance works with more useful ones: When does credit create opportunity? When does it strengthen resilience? When does it leave people worse off? Why do outcomes vary so dramatically across borrowers and markets?

These questions can offer microfinance institutions—as well as the investors, donors, and capital markets that fund them—a stronger basis for decision-making. Identifying the conditions under which microcredit creates value or causes harm can lead to better investment strategies, more effective regulation, and ultimately, better outcomes for the people it aims to serve.

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The analysis highlights five factors that largely determine whether credit helps or harms: who receives the loan, how the loan is designed, what it is used for, where it is offered, and when it becomes available.

Microcredit tends to work best when borrowers already have some experience running a business and control how the funds are used. It is also more effective when repayment schedules are aligned with household cash flows, rather than following demanding, rigid weekly installments, and when loans finance investments that generate steady returns over time.

Pay-as-you-go solar is a prime example. Households that cannot afford a large upfront purchase can often manage small monthly payments that are lower than what they previously spent on kerosene. Here, microcredit finances an investment that quickly pays for itself.

Microcredit can play an equally important role in strengthening resilience, though its benefits are often underestimated by randomized trials that focus on short-term changes in income or consumption. A family that uses financing to acquire a productive asset—a solar panel, a water pump, or income-generating equipment—is often better positioned to withstand a bad harvest, a medical emergency, or an economic shock. While this buffer effect may not show up in an 18-month trial, it is real and well-documented.

The evidence on enterprise growth is similarly encouraging. For existing business owners, access to well-structured loans is consistently associated with higher profits, greater investment, and expansion. The mechanism is straightforward: credit acts as a lever, enabling entrepreneurs who already have customers, skills, and viable opportunities to invest and grow faster.

Women's economic empowerment offers another powerful illustration of how the same loan can produce very different outcomes. Women account for the majority of microfinance borrowers worldwide, and when they control how loans are used, the benefits often extend throughout the household, leading to higher spending on children's health and education, more diversified income sources, and greater financial security.

But a loan issued in a woman's name and controlled by someone else, such as a spouse or male relative, can leave her with the obligation to repay without any power over how the money is used. Direct disbursement into women-controlled accounts, transaction privacy, and products that reflect how women actually work and make decisions are therefore essential for credit to translate into genuine economic empowerment.

The practical implications for providers and investors are clear. Rather than focusing solely on point-in-time repayment capacity, they should assess the viability of the opportunities borrowers intend to pursue and design products that align with how people earn and invest.

To be sure, responsibility does not rest with providers alone. Regulators also play a critical role in facilitating responsible lending at scale, while evaluators must measure the impact of microcredit over periods long enough for its full effects to become apparent.

The debate over the virtues and limitations of microfinance has obscured a crucial fact. Microcredit itself is neither inherently good nor inherently bad; its impact depends on how it is designed,

delivered, and regulated. And even then, credit is only part of the financial toolkit people need, alongside insurance, savings, and payments.

Responsibility therefore rests with all participants, from the institutions that provide credit and the investors and donors that fund it to the governments that oversee it.

Rather than continuing to ask settled questions, the focus should be on the hundreds of millions of people who depend on microcredit. We now have a far clearer understanding of what separates success from failure than we did a generation ago. The challenge is to put that knowledge into practice.

12. Alan Greenspan's Mixed Legacy

Author: Unknown Author | **Date:** Jun 22, 2026 | **Original:** <https://www.project-syndicate.org/commentary/alan-greenspan-fed-chair-mixed-legacy-by-barry-eichengreen-2026-06>

BERKELEY—Alan Greenspan, who died this week at the age of 100, was one of the most consequential chairs the Federal Reserve Board has had in its 112 years of existence. But consequential does not mean faultless. One might say that his tenure—the second-longest in Fed history—ultimately vindicated much of what he had opposed.

The young and even middle-aged Greenspan did not seem destined to lead the world's most powerful central bank. Born in 1926 and raised in New York by a single mother, Greenspan had not anticipated a career in economics and finance at all. His passion was jazz clarinet and saxophone, a career he pursued professionally, although he distinguished himself mainly by keeping the books for his touring big band.

With music offering less than a stable income and career path, Greenspan enrolled in 1945 at New York University, earning B.A. and M.A. degrees in economics. He worked as an analyst at the National Industrial Conference Board while pursuing a Ph.D. at Columbia University but dropped out after being approached in 1953 by William Townsend to become a partner in the consulting firm subsequently known as Townsend-Greenspan. At the Conference Board, itself a kind of economics consulting and research firm, Greenspan acquired a reputation for pouring over economic minutiae and assembling a coherent picture of the economy. He stayed at Townsend-Greenspan, with only one interruption, for 32 years.

Along with a reputation for scrutinizing data on freight car loadings and other obscure economic time series, Greenspan became a member of the intellectual salon run by the objectivist philosopher Ayn Rand. How profoundly he was influenced by Rand's views of limited government, and whether those views shaped his staunch opposition to financial regulation and other forms of government intervention, which came back to haunt him in the 21st century, is uncertain.

What is clear is that Greenspan's views evolved with the times or perhaps shifted with the political winds. Contacts in the Republican Party led to his advising Richard Nixon's 1968 presidential campaign and to Nixon nominating him to chair the Council of Economic Advisers in 1974, where Greenspan positioned himself as a pragmatist. He chaired the CEA for three years before returning to Townsend-Greenspan. Besides working as a consultant, he served on corporate boards, appeared on network news programs, and chaired President Ronald Reagan's Commission on Social Security Reform, bringing him to the attention of the president, who elevated him to the Fed chairmanship in 1987.

If Reagan thought he was getting a more compliant inflation fighter than the departing Paul Volcker, he was disappointed. Greenspan cemented the view that maintaining low and stable inflation should be the Fed's highest priority; if a central bank failed to deliver price stability, its other goals would

remain out of reach. In the mid-1990s, he moved the Fed decisively toward the adoption of a formal inflation target. On his watch, consumer price inflation averaged 3%, low by late-20th-century US standards. Improved price stability was accompanied by improved overall economic stability in the period that came to be known as the “Great Moderation.” Whether this happy outcome was due to good policy or good luck is disputed to this day.

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As Fed chair, Greenspan made two controversial bets. First, he bet that the economy was undergoing a structural transformation due to the internet and new information technologies that promised faster productivity growth and lower inflationary pressures. No productivity surge was yet evident in the data, but Greenspan’s reputation as an oracle who could parse economic statistics lent authority to his views.

Starting in 1996, Greenspan used that authority to argue that the Fed’s models were overestimating the risk of inflation and to push back against interest-rate hikes, to the delight of the White House. When inflationary pressures remained subdued and the country’s economic expansion continued for another five years, Greenspan was vindicated. That we currently have talk of another productivity surge due to AI, and another prospective Fed chair with sensitive political antennae and a preference for low interest rates, attests to Greenspan’s enduring influence.

Greenspan’s other bet was that a lightly regulated banking and financial system could fend for itself—that the decisions of self-interested bankers would benefit not just their institutions but the financial system, the economy, and society as a whole. Greenspan’s appeal to his original Reagan administration patrons may have been precisely that, unlike the departing Volcker, he favored light-touch regulation of banks and financial derivatives markets. He advocated deregulating over-the-counter derivatives and opposed stricter controls proposed by the Commodity Futures Trading Commission. He oversaw administrative changes lowering reserve requirements on bank liabilities and favored repeal of the Glass-Steagall Act, the Depression-era law separating commercial and investment banking.

In 2006, after more than 18 years, Greenspan stepped down from the Fed. No sooner did he do so than the presumption that banks and financial markets could safely self-regulate was discredited, and spectacularly so, by the subprime mortgage meltdown in 2007 and the global financial crisis of 2008–09.

The low interest rates Greenspan favored as a result of his bullish views of productivity may have had more than a little to do with the frenzy of risk taking that fed the subprime boom. But more directly implicated was his supreme confidence that financial institutions could be trusted to self-regulate. As he put it in Congressional testimony in 2008, “I made a mistake in presuming that the self-interest of organizations, specifically banks and others, were such that they were best capable of protecting their own shareholders and equity in the firms. ... Those of us who have looked to the self-interest of lending institutions to protect shareholders’ equity (myself especially) are in a state of shocked disbelief.”

In his autobiography, *The Age of Turbulence*, Greenspan again attributed his shock to a “flaw in the model.” It is tempting to see the model in question as the self-regulating free-market economy of his objectivist youth, although this explanation for his deregulatory fervor may be facile. Greenspan himself also blamed his inaccurate forecast on inadequate data on risky lending practices, though that is hard to credit coming from someone renowned for his skill at parsing obscure economic statistics.

Another explanation of this lack of foresight is that there had been several earlier episodes of financial excess on Greenspan’s watch, but none had seriously damaged the US financial system and the economy. When the stock market crashed in 1987, Gerald Corrigan of the Federal Reserve Bank of New York moved quickly to inject liquidity into the financial system. During the Mexican Debt Crisis of 1994, the US Treasury, led by Robert Rubin, tapped its Exchange Stabilization Fund until permanent finance was arranged. In 1997, when the Asian financial crisis erupted, both the Treasury and the International Monetary Fund, with leadership from the economist Stanley Fischer, stepped into the breach.

From these earlier episodes, Greenspan inferred that markets, while prone to excesses, could right themselves sufficiently to avoid imperiling the financial system and the economy. The correct lesson would have been, first, that markets require strict regulation, and, second, that it is essential to have competent technocrats at the helm. Today, in 2026, these are timely lessons to recall.

13. What the Iran War Taught the World About Food Security

Author: Unknown Author | **Date:** Jun 22, 2026 | **Original:** <https://www.project-syndicate.org/commentary/iran-war-exposed-global-agriculture-lack-of-resilience-by-maximo-torero-2026-06>

ROME—The recent memorandum of understanding between the United States and Iran promises to restore the flow of oil, natural gas, sulfur, and fertilizers through the Strait of Hormuz, easing pressure on agricultural markets and reducing the risk of a deeper global food security crisis. Yet while the MOU may reduce the intensity of the shock (assuming the Strait remains open), it cannot erase the central lesson of the past four months: agriculture remains dangerously vulnerable to disruptions in fertilizer supply chains.

Given deep uncertainty over the MOU itself, not to mention long-term relations with Iran more broadly, countries should use whatever easing of immediate pressures occurs to strengthen resilience before the next shock arrives. The question is not whether another disruption will occur, but whether we will be better prepared when it does.

Over the past five years, agriculture has absorbed a succession of crises, from the COVID-19 pandemic to wars and repeated climate-related disasters. Each exposed weaknesses in supply chains, energy systems, and agricultural production. Few, however, offered such a clear opportunity to address those vulnerabilities before the next crisis emerged.

Perhaps the most unsettling lesson from the closure of the Strait of Hormuz is the gap between what we knew and how we prepared. The risks associated with fertilizer disruptions were well understood, yet the global agriculture sector entered the crisis with limited safeguards and no coordinated international reserve mechanism for critical inputs.

As a result, a single waterway carrying roughly 20–30% of globally traded fertilizers and about 50% of global sulfur exports has become a point of failure for producers across multiple continents. When flows were interrupted, there was no meaningful buffer to stabilize markets and no alternative source capable of replacing lost supply at scale.

In Latin America, one of the world's largest agricultural exporting regions, production depends heavily on imported fertilizers. In many African countries, where fertilizer use is already low, even modest disruptions can lead to significant productivity losses. The crisis highlighted how concentrated and fragile critical-input supply chains have become.

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Building resilience requires more than restoring trade. Strategic reserves, stronger storage capacity, diversified trade corridors, and more robust logistics networks can mitigate exposure to chokepoints and provide governments with greater flexibility during periods of disruption. International financial institutions and development banks should support these investments, particularly in countries already facing debt constraints and balance-of-payments pressures.

The shock also highlighted the close relationship between energy and agrifood systems. In many developing countries, millions of irrigation pumps, transport networks, and farm machines still rely on diesel, so that volatility in fuel markets translates rapidly into higher production costs. Reducing agriculture's exposure to energy shocks through investments in rural electrification and renewable energy can improve both resilience and long-term competitiveness.

Yet resilience ultimately depends not only on securing fertilizer supplies, but also on using them more effectively. The most resilient farming systems are not necessarily those that apply the most fertilizer, but those that apply the right nutrients, in the right place, at the right time.

One clear lesson of the crisis is that falling fertilizer prices are not always good news. The recent decline in urea prices partly reflected weaker demand as farmers delayed purchases or reduced application rates because of uncertainty, liquidity constraints, supply concerns, and lower expected profitability. Such demand destruction may ease prices in the short term, but it often signals lower nutrient use, which can translate into reduced yields and tighter food supplies later.

The future of fertilizer security may therefore depend less on applying more nutrients than on understanding the soils beneath our feet. Investments in soil mapping, precision nutrient management, and improved agronomic practices can help farmers match fertilizer applications to the actual needs of crops and soils, raising productivity while reducing waste and dependence on volatile international markets.

Information should be treated as critical agricultural infrastructure. Governments and the private sector should work together to develop common standards and shared platforms that transform soil data into a global public good.

Crises often create a temptation to search for a single solution. Agriculture rarely offers one. Green ammonia and related technologies could eventually diversify fertilizer production and reduce dependence on fossil fuels, although costs remain significantly above those of conventional ammonia, and large-scale deployment is still years away.

At the same time, innovation funds and research investments should support alternative fertilizers, bio stimulants, beneficial microorganisms, improved crop genetics, and technologies that enhance nutrient efficiency and soil health. Effective fertilizer strategies must remain science-based, adapted to local conditions, and combine synthetic fertilizers with improved soil management and biological solutions.

Ultimately, resilience is about preserving options when conditions change unexpectedly. Early warning systems, market monitoring, agricultural insurance, and anticipatory action protocols allow governments to respond to disruptions before they become crises. These investments matter whether the next shock originates in geopolitics, climate variability, or energy markets.

Regardless of the outcome of the MOU between the US and Iran, the economic consequences of the disruption in the Strait of Hormuz will continue to move through agricultural systems long after shipping routes return to normal. The UN Food and Agriculture Organization's analysis suggests that as higher input costs and production adjustments work their way through markets, producers may continue to face lower profitability and income losses in 2026.

Governments, international financial institutions, and development banks should seize this moment to strengthen critical infrastructure, improve access to agricultural information, diversify supply chains, and build more resilient fertilizer systems. The vulnerabilities exposed by this crisis were well understood before it began. They should not remain unresolved after it ends.

14. Learning from the Right Sovereign Wealth Funds

Author: Unknown Author | **Date:** Jun 17, 2026 | **Original:** <https://www.project-syndicate.org/commentary/us-canada-should-learn-from-latin-american-sovereign-wealth-funds-not-gulf-by-erika-mouynes-2026-06>

NEW YORK—What's not to love about a sovereign wealth fund? Gulf states' SWFs, which control roughly \$6 trillion in assets, are no longer mere investment vehicles. They have become tools of statecraft, transforming kingdoms and emirates into power brokers and benefactors. Alongside splashy spending on sports and luxury retail—Saudi Arabia's Public Investment Fund (PIF) bought the English soccer club Newcastle United, and the Qatar Investment Authority (QIA) owns the department store Harrods—these funds have poured money into strategic sectors such as AI, logistics, and renewables. They also provide economic support to allies, serving as a foreign-policy lever.

The Gulf model is so appealing that Canadian Prime Minister Mark Carney recently launched an SWF, and US President Donald Trump signed an executive order to establish one. But neither Canada nor the United States can match the decades of hydrocarbon surpluses that form the backbone of the Gulf model. A more relevant example would be Latin America, which has run this experiment many times over the years, and under conditions much closer to those prevailing in Canada and the US.

Unlike the Gulf states, with their consistently rising oil revenues and conservative monarchies, Latin American countries have faced commodity booms followed by fiscal deficits, as well as political swings between left and right, ruling out long-term policy continuity. While a few succeeded in building SWFs, many failed. Their experience offers useful lessons for the US, Canada, and other countries embarking on this path.

First, launching an SWF requires a significant sum of money that a government can afford to set aside. When Brazil created its SWF in 2008, the capital came from fiscal allocations and public borrowing, rather than a meaningful commodity windfall. The math never worked, and the fund was dissolved 11 years later, with the remaining assets going to debt service.

Guyana had the opposite problem. In 2025, its SWF received \$2.47 billion in oil revenue. But the money went out as quickly as it came in: that same year, the country's parliament authorized \$2.46 billion in withdrawals. Without any guardrails to prevent the windfall from being spent, the fund functioned as a fiscal-transfer mechanism, not a savings vehicle.

There is also the risk of SWFs being overburdened with mandates. Mexico's oil fund, for example, is tasked with stabilizing the budget, saving for the future, and propping up Pemex, the state-owned energy company. When those goals compete, the urgent one wins. Oil revenue keeps being pulled away to keep Pemex afloat, and savings never accumulate. Money that should have built long-term reserves goes instead to short-term fiscal politics.

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Arguably, the most important example is Chile's Economic and Social Stabilization Fund, which has provided a model for the region. But even a well-governed fund can run into problems. Chile had to confront the reality that it borrows at an interest rate of 5%, while its stabilization fund earns 1–2% per year. When a person has a modest savings account and high-interest credit card debt, consumer finance experts would urge them to pay down the card first. In 2024, Chile passed legislation to restructure the fund as an endowment with more flexibility to chase returns—underscoring the importance of enabling sovereign wealth funds to invest aggressively.

Latin America's SWF expertise has been recognized on the world stage. The global standards for sovereign wealth governance, the Santiago Principles, were signed in Chile's capital city in 2008. Panama, having spent decades insulating autonomous government institutions like the Canal Authority from political interference, has built similar protections into its SWF, which the Peterson Institute for International Economics' 2021 Sovereign Wealth Fund Scoreboard rated at 82 out of 100. By contrast, the QIA scored 46, and Saudi Arabia's PIF came in even lower, at 39.

To be sure, some people will argue that certain public investments, like those contributing to employment growth, regional development, and national security, produce social benefits that justify accepting lower financial returns. But the vehicle for those investments is a development bank, a public-private partnership, or industrial policy—not a sovereign wealth fund.

The Gulf has made SWFs seem like a strategic choice. But their success has depended on billions of dollars in fossil-fuel revenue and political continuity, neither of which is readily available to Carney or Trump. Fortunately, they need not look far for alternative models: Latin American countries have identified not only the pitfalls of SWFs, but also how to build one that can deliver realistic, if less glamorous, results.

15. Europe Cannot Afford Another Lost Year

Author: Unknown Author | **Date:** Jun 17, 2026 | **Original:** <https://www.project-syndicate.org/commentary/european-competitiveness-reforms-to-unlock-business-investment-by-lars-sandahl-sorensen-2026-06>

COPENHAGEN—Last October, French President Emmanuel Macron stood in Copenhagen alongside European Commission President Ursula von der Leyen, Polish Prime Minister Donald Tusk, Danish Prime Minister Mette Frederiksen, and executives from 28 of Europe’s largest companies. They were there for the Copenhagen Competitiveness Summit, whose purpose was straightforward: to discuss how Europe can remain competitive in an increasingly cutthroat global economy.

In summarizing the challenge, Macron put it well: “We know exactly what we have to do. It’s well established in the Letta report, Draghi report and so on. Now the question is how to deliver ... It’s a days-and-weeks issue. I want to insist on that because for me the end of this year is absurdly critical to deliver this agenda.”

Macron was right, and his observation remains true today. Europe does know what to do. A year prior to the summit, former European Central Bank President Mario Draghi had also delivered a stark warning about Europe’s competitiveness. Among many significant findings in his report on the matter was his conclusion that Europe faces an annual investment gap of around €800 billion (\$928 billion).

Since then, the pressure on Europe has only intensified. American protectionism is rising. Chinese competition is intensifying. Security threats are moving ever closer to daily European life. At the same time, Europe continues to burden itself with slow approval processes, fragmented regulation, and barriers within its own single market.

Europe cannot afford to keep dragging its feet. The good news is that European businesses are ready to commit to being part of the solution. That was the idea behind the Copenhagen Pledge presented at the Copenhagen Competitiveness Summit. The 28 companies behind the declaration committed to increasing their investments in Europe by an average of 50% by 2030, provided that European policymakers deliver the reforms necessary to strengthen competitiveness and security.

Global companies such as Airbus, Siemens, SAP, Thales, Saab, and Novo Nordisk are prepared to invest more in Europe’s future. But investment can bear fruit only if it takes root in fertile ground. Capital will not automatically strengthen Europe simply because it exists. Without the right conditions, Europe risks wasting a historic opportunity. European businesses need simpler rules, faster permitting, affordable energy, stronger infrastructure, and a fully functioning single market.

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That is why the Copenhagen Pledge contains not only investment commitments but also a concrete outline of recommended political reforms to unlock European competitiveness. Many of these proposals echoed the Draghi report, which urged European leaders to simplify regulation, reduce reporting burdens, boost innovation, and strengthen Europe's ability to scale businesses across borders.

But Europe's progress since the Copenhagen summit has been disappointing. A new competitiveness tracker shows that only four of 35 key initiatives have been formally adopted. Meanwhile, 21 initiatives remain stuck in the early stages of development, where they cannot yet reduce regulatory burdens, lower compliance costs, or attract new investment.

The gap between political ambition and policy reform remains far too wide. Even where progress has been made, challenges remain. Three out of the four adopted initiatives focus on simplification, but new and inconsistent requirements continue to offset many of the gains for businesses.

Europe does not suffer from a shortage of reports or strategies. It suffers from weak execution. The most important task is clear: Europe must finally complete and strengthen its single market. It is absurd that European companies still face national barriers, fragmented implementation, and different administrative requirements within the world's largest trading bloc. At a time when external pressure is mounting from every direction, Europe should stop allowing internal fragmentation and national special interests to tie its hands.

There is much in today's world that Europe cannot control—from wars and geopolitical instability to global trade tensions. But Europe can decide whether it wants companies to spend time navigating 27 different systems when they could be pursuing innovation and scaling up investment across the continent.

Businesses are still ready to contribute. Recent data from Danish Industry's business panel shows a clear shift in outlook, with Danish companies increasingly seeing Europe as a safe harbor in an unstable world. Danish investments in the United States have grown by 170% since 2019, while investments in EU countries have largely stagnated. But now, companies are signaling a stronger willingness to increase their economic engagement in Europe.

That shift matters. It shows that companies want to invest closer to home when conditions are stable and predictable, and it confirms that Europe has a unique opportunity to attract investment that might otherwise go elsewhere. Europe should stand ready with open arms.

Businesses are prepared to help build a stronger Europe that can withstand external pressure and secure future prosperity. But European leaders must meet that commitment with political courage and speed. We already know what needs to be done.

16. The US-Iran Agreement Is a First Step

Author: Unknown Author | **Date:** Jun 17, 2026 | **Original:** <https://www.project-syndicate.org/commentary/us-iran-agreement-only-first-step-for-markets-and-global-economy-by-mohamed-a-el-erian-2026-06>

WASHINGTON, DC—Sunday’s announcement of a memorandum of understanding between the United States and Iran is an important step forward. After months of open hostilities that have exacted a heavy toll—in both lives and livelihoods—and inflicted significant economic damage worldwide, the memorandum provides a much-needed foundation for diplomacy that could reverse the stagflationary spillovers of the war.

Since the war has complicated an already tricky outlook for most countries and companies, the announcement is understandably being celebrated. But as critical as it is, it’s only a first step. A true return to global economic stability still depends on whether all the parties involved can move from a framework deal to a lasting agreement.

Of course, this uncertainty has not stopped global financial markets from reacting as though normal economic activity had already been restored. Expectations for a reopening of the Strait of Hormuz and a resumption of full-scale energy exports to international markets have triggered a sharp drop in global oil prices; and that, in turn, has boosted equity markets globally, as well as lowering borrowing costs.

Moreover, in the initial hours after the agreement’s announcement, portions of the bond market revised down their assumptions about how aggressively central banks would need to hike interest rates, having inferred that the memorandum could lead to an easing of supply-side constraints fueling inflation.

But lasting relief for the global economy will depend on how the US and Iran navigate the profound operational complexities that their agreement entails. For economists and a substantial segment of financial markets, it is too early to declare “all clear.” The next few weeks will be dominated by a step-by-step evaluation of whether renewed diplomacy can survive contact with structural realities.

Specifically, further clarity is needed on four issues. First, can technical teams from both the US and Iran sort through what US Vice President JD Vance has described as “a lot” of yet-to-be-negotiated details? They must not only resolve current outstanding issues but also navigate the inevitable transition from the memorandum of understanding to constructive talks on the fundamental issues that caused the war—not least Iran’s nuclear program and the broader issue of regional security.

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Second, international and regional actors' reaction could either solidify or sabotage the fragile peace. On one side are America's European and Middle East allies, who are eager to end the energy supply shock. They are hoping for a broader multilateral effort to ensure an enduring peace—a push that will likely be on full display at this week's G7 summit in France. But then there is Israel, which has continued to strike targets in Lebanon and has already signaled its refusal to withdraw from the territory it has held since the start of the war.

Third, the speed of normalization will be critical for restoring global economic health. Reopening a chokepoint like the Strait of Hormuz is not as simple as flipping a switch. Adjusting shipping insurance rates, carrying out de-mining operations, and ramping up energy production all takes time.

Lastly, policymakers must carefully gauge the extent to which the war has left "economic scarring," on one hand, and built additional resilience, on the other. The ceasefire does not automatically reverse adverse effects such as the hit to global costs, some of which have yet to materialize (particularly in the food sector). But these shocks must be weighed against the resilience-building measures that countries and companies were forced to pursue—from establishing alternative energy supply chains that bypass current chokepoints to placing a heavier logistical emphasis on precautionary inventories.

Most economists will refrain from declaring "all clear" as each of these issues could derail or prolong the process. A sense of caution will initially dominate policymakers' approach, as will become clear in the commentary surrounding major central banks' policy meetings this week.

That includes the US Federal Reserve. It will welcome the ceasefire, but it is unlikely simply to assume that a preliminary framework agreement constitutes a complete, immediate reversion of the war's adverse impact on inflation. The Fed and other central banks will wait for tangible proof that the details are sorted out, that the Strait of Hormuz will remain open, and that production and shipping will in fact be restored.

While the recent announcement is certainly good news, it is not definitive. The path from a statement of diplomatic intent to a fully restored, non-inflationary energy supply chain is subject to political, technical, and physical risks. Indeed, the coming weeks will be about how quickly the US and Iran can overcome challenges to implementation. Until then, the global economy remains in a state of suspended hope, and not yet on a path toward definitive recovery.

17. Developing-Country Risk Is Being Mispriced

Author: Unknown Author | **Date:** Jun 17, 2026 | **Original:** <https://www.project-syndicate.org/commentary/new-evidence-shows-that-africa-investment-risk-is-lower-than-assumed-by-vera-songwe-and-mahmoud-mohieldin-2026-06>

YAOUNDE/CAIRO—Evidence of markets’ systematic overestimation of risk in developing economies has been piling up for years. The latest addition is the new release of the Global Emerging Markets (GEMs) Risk Database, which shows a sharp disconnect between developing economies’ default and recovery outcomes and prevailing market assumptions.

Investors have long associated developing economies with weak institutions, elevated political and economic risks, and frequent defaults, and have thus demanded large risk premia. When investors say that there are no “bankable” projects in developing economies, they are typically referring less to project quality than to the price of capital.

The new GEMs release—which covers more than 15,000 private-sector loans issued between 1994 and 2024 by 29 multilateral development banks (MDBs) and development finance institutions (DFIs)—upends these assumptions. It found that despite financial crises, commodity shocks, pandemics, and political upheaval, private-sector loans in emerging markets recorded default rates of 3.54%, broadly comparable to the rate for B-rated corporate bonds in advanced economies.

More important, according to the GEMs Database, when defaults occurred, lenders recovered an average of 72.9 cents on the dollar. That is much better than Moody’s global bond benchmarks and, even more so, than JPMorgan’s emerging-market recovery estimates.

The GEMs release also challenges the longstanding assumption that private borrowers in a given country cannot be less risky than the sovereign. In fact, well-structured private projects can “pierce the sovereign ceiling,” offering better credit quality than national ratings suggest. In low-income countries, sovereign ratings put default probabilities at over 31%, but in practice, private firms financed by development banks recorded a default rate of just 7.2%. In other words, while financing conditions reflected the assumption that one in three borrowers would default, the real ratio was closer to one in 14.

When risk is mispriced, and financing conditions are dictated by overly conservative assumptions, capital is misallocated, and the expectation that projects are not “bankable” becomes self-fulfilling. Elevated risk premia push required returns to levels that many productive investments cannot realistically achieve. Projects are labeled unbankable because they fail to fulfill inflated demands.

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The consequences are far-reaching. As critical investments in areas like energy, transport, digital infrastructure, health care, and climate resilience are delayed—even when projects are viable—industrialization, energy transitions, and integration into emerging green and digital value chains suffer. Capital-cost differentials thus translate into development and competitiveness gaps.

The lesson is not that governance, debt sustainability, or macroeconomic stability do not matter, let alone that all developing-country investments are low-risk bets. Risk differentiation remains essential. But the aggregate evidence suggests that prevailing pricing practices often overstate risk, particularly for private-sector investments supported by DFIs. In fact, support from MDBs and DFIs materially improves outcomes, through effective project selection, supervision, governance standards, and risk mitigation. Pricing methodologies and regulatory frameworks should account for these institutions' support.

Changing financing methods is no easy feat, as they are embedded in regulatory systems, investment mandates, and benchmark frameworks. But the costs of this inertia are high—and borne largely by developing economies. With the data now available, and the gap between assumptions and observed outcomes quantifiable, action should be taken on four fronts.

First, rating agencies should revisit the sovereign ceiling in markets where MDBs and DFIs play a significant role. A systematic review of how sovereign ratings influence private-sector credit assessments is overdue. Similarly, prudential regulators should review capital requirements for developing-country lending, recognizing the risk-mitigation benefits of MDB and DFI participation.

Third, institutional investors must update their internal risk models. As it stands, pension funds, insurers, and sovereign wealth funds often limit their exposure to developing-economy private credit. Incorporating expected-loss data that account for observed default and recovery rates could unlock substantial investment.

Finally, developing economies must continue addressing genuine sources of risk. Strengthening macroeconomic management, improving debt sustainability, enhancing contract enforcement, developing local capital markets, and creating stable regulatory environments remain essential to attracting long-term investment.

The G7, the G20, MDBs, regulators, institutional investors, and developing-country governments should treat these tasks as a systemic reform agenda, rather than a technical adjustment. This is not a request for more aid or larger concessional resources. It is a demand for capital-pricing frameworks that reflect evidence, rather than inherited assumptions.

While reforming risk assessments alone will not eliminate the global development financing gap, it could go a long way toward narrowing it, without requiring additional public resources. It would also improve the allocation of global savings and unlock productive investment at scale. Pricing capital more accurately is not simply a matter of fairness. It is a matter of efficiency, growth, and development.

18. The Fed Has Been Honest and Stupid

Author: Unknown Author | **Date:** Jun 16, 2026 | **Original:** <https://www.project-syndicate.org/commentary/how-the-fed-can-improve-itself-under-kevin-warsh-by-todd-g-buchholz-2026-06>

SAN DIEGO—While pilots learn to trust instruments, smart ones know to peek out the window now and then. For too long, the US Federal Reserve Board has behaved like a pilot who stares at his gauges and cites the altitude to the nearest foot but doesn't see the mountain in the windshield. Kevin Warsh, the new Fed chair, has slipped into the pilot's seat just as markets debate whether monetary policy should be loosened or tightened. He will need a nimble neck to make wise decisions.

Warsh has rightly criticized the Fed's past performance. A generation of Americans has grown cynical about economic experts, and you can't blame them, given all the blunders and bubbles they have suffered through: the 2001 tech bust, the 2008 financial crisis, and the post-COVID inflation surge. Former Fed Chair Jerome Powell and President Biden's administration mistakenly assured Americans that the recent bout of inflation was "transitory," even though everything from burgers to insurance and rents suddenly seemed priced for Swiss bankers. With beer prices jumping more than 20% between 2020 and 2026, Joe Sixpack becomes Joe Fivepack.

It would be easy—and a mistake—to grow so cynical as to blame the Fed's blunders on corrupt bureaucrats, imagined conspiracies, or the construction blueprints tucked into Powell's briefcase. We don't need a squadron of forensic accountants rifling through filing cabinets to uncover the truth: the Fed has been honest and stupid.

The good news is that it can become smarter. Start by looking at the Fed's regional map, which immediately illustrates a problem. Created in 1913, it looks like something the 19th-century US explorers Lewis and Clark scratched out on buckskin beside a campfire and a pot of beans. To keep tabs on a country as big as the United States, the Fed has a mere 12 districts, with two full regional Fed banks located in Missouri.

Southern California alone is a global gateway, an entertainment capital, a biotech engine, and a housing-inflation laboratory, where a starter home requires a nonstarter income. But it is just one small part of the San Francisco Fed president's portfolio, which also includes tech unicorns in Silicon Valley, Alaskan fisheries, and the Pacific island of Guam. Despite this, the head of the San Francisco Fed does not have a greater say than her counterpart in Richmond, Virginia, a powerhouse in oysters and small-batch beers, and gets a vote on the policy-setting Federal Open Market Committee only in alternate years.

The Eastern configuration, for its part, reads like a century-old map printed by the defunct Pennsylvania Railroad: Boston, New York, Philadelphia, Washington, and Richmond.

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To fight inflation effectively, Congress should redraw the map. But that solves only half of the Fed's geography problem. Central bankers must also focus their attention more closely on Washington and the government programs that pump fuel into the economy or choke it. In the early 2000s, Congress and government-sponsored agencies like Fannie Mae and Freddie Mac triggered a real-estate explosion with their reckless drive to push up home-ownership rates. By 2006, nearly one in four new mortgages was subprime (loans with higher interest rates offered to people with risky credit histories). The Fed sat by and watched.

Like the Fed chairs before him, Warsh will spend plenty of time in the congressional hot seat. But why not flip the script so that central bankers periodically interrogate congressional leaders and White House officials about the fiscal and regulatory kindling they gleefully heap on the flames? Monetary policy is not a fire extinguisher for blazes that politicians stoke—and someone should say that under oath.

Lastly, the Fed needs sharper tools. I have been carefully monitoring monetary policy ever since I corresponded with Milton Friedman as a graduate student. But Friedman left the stage before AI, stablecoins, and Taylor Swift launched a concert tour that would earn more than the GDP of dozens of countries. Many of the Fed's favorite gauges—like bank balances and unemployment claims—are lagging indicators that no longer tell the whole story. Look at how quickly remote work rewired commercial real estate and migration patterns.

The gig economy is a powerful supply-side shock that puts idle resources into play. An empty bedroom becomes an Airbnb, a car parked in a garage is reborn as an Uber, and a retired nurse steps out to give Botox injections. Such an economy runs on companies like Stripe, PayPal, and Shopify, which offer forward-looking clues to the Fed.

Warsh inherits a Fed with an almost-renovated headquarters, reams of real-time data, and a rather embarrassing track record. The good news: institutions, like pilots, can get smarter. But there is no time for delay. Warsh should push Congress to modernize the map, sharpen the Fed's tools, and remind politicians that monetary policy is not a fire extinguisher to battle their arson. If he pulls it off, Joe Sixpack might be able to afford that sixth can again—and perhaps a down payment on a house.

19. India's Unfinished Reform Agenda

Author: Unknown Author | **Date:** Jun 15, 2026 | **Original:** <https://www.project-syndicate.org/commentary/energy-climate-trade-shocks-should-push-india-to-finish-implementing-reform-agenda-by-shishir-gupta-2026-06>

NEW DELHI—Current economic debates in India focus on why the rupee has fallen and how much to rely on foreign-exchange reserves. This is understandable, given the volatile geopolitical environment. But the biggest risks to the Indian economy today stem from more specific shocks: elevated oil prices, potentially strong El Niño conditions during the monsoon season, and the tariff-induced fragmentation of global trade. These developments are especially worrying because India also faces the specter of a structural slowdown in the IT services industry, one of its main growth drivers, linked to AI's rise.

A back-of-the-envelope estimate suggests that these simultaneously unfolding shocks could produce a cumulative drag on GDP growth of roughly 1–1.5 percentage points, relative to the baseline assumption at the start of the year. Notably, most agencies have revised down India's growth forecast only modestly, by around 0.5 percentage points, so far.

A sustained \$10 increase in oil prices is generally believed to lower India's GDP growth by roughly 0.2–0.3 percentage points, implying a growth slowdown of 0.5–0.8 percentage points if crude stays around \$90–100 per barrel for a prolonged period. Historically, severe El Niño episodes have resulted in stagnation or even contraction of agricultural output, which accounts for about 18% of GDP. Stagnation, never mind contraction, would thus shave around 0.4–0.6 percentage points from GDP growth.

As for merchandise trade, the World Trade Organization's latest forecast indicates global growth of around 1.5% this year, down from 4.6% in 2025. India's exports, which tend to mirror global patterns, seem likely to experience a similar deceleration.

But these adverse conditions may be a blessing in disguise if they force India to push through serious reforms that target binding constraints on near- and medium-term economic growth. This implies picking areas that are critical for growth and have not seen any improvement over the last decade or two.

First, that would mean slashing the tariffs that have undermined the competitiveness of Indian manufacturing, which remains stuck at around 15% of GDP despite many efforts in recent decades to increase it to 25%. Consider that China's average applied most-favored-nation tariff rate is 7.5%, whereas India's is 16.2%. It is impossible to boost exports while maintaining such high tariff walls.

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Over the next 8–10 years, India should move toward tariff structures comparable to those of the members of the Association of Southeast Asian Nations and better integrate into global supply chains. Joining regional trading blocs like the Comprehensive and Progressive Agreement for Trans-Pacific Partnership would signal a credible commitment to such reform.

Second, Indian policymakers must overhaul the country's mining policy, which separates exploration from extraction—a fundamentally flawed approach to a sector that thrives when high-risk discovery promises high reward. While India's geological make-up is similar to Australia's, the latter has transformed its mineral deposits into a growth engine in recent decades by introducing stable exploration incentives, easier development pathways, and predictable commercial frameworks. In 2000, the mining sector accounted for 5% of GDP in Australia and around 3% in India; but of late, India's share has slid to 2%, whereas Australia's has surged to 14%.

Third, land use and availability must be improved, particularly in cities. The lack of credible and rigorous land-use planning and implementation has led to soaring urban real-estate prices. On average, a median-earning household must save 11 years' worth of income to purchase an apartment. Manufacturing has responded to high urban prices by moving to the countryside: the share of manufacturing in Indian cities fell from about 70% in 1994 to less than 50% in 2012.

To boost their credibility and facilitate the entry of new developers, Indian cities' master plans must be more detailed and include sustainable financing models. The monetization of public land is a key way to unlock urban development and improve living conditions. The onus lies squarely on the government, as the country's biggest landowner, to reform dysfunctional urban land markets.

Fourth, the central government and state governments must rein in subsidies, the burden of which has increased over the last couple of decades and especially since the Iran War began. According to the World Development Indicators, subsidies and other transfers account for 42.5% of central government expenses in India, compared to around 25–30% in most peer countries. The money poured into subsidies, a popular electoral tactic, is often wasted, and would be better spent on education and health, sectors that are perennially fund-starved.

Lastly, India should spend more on research and development to increase productivity and long-term growth. Spending on R&D investment accounts for only about 0.7% of GDP, far below the 2–3% typical in high-tech countries like the United States and China. This reflects low private-sector participation, with firms contributing less than 40% of total R&D spending in India, compared to around 70% in advanced economies. The Indian government has taken strides toward closing the gap, announcing a ₹1 trillion (\$10.5 billion) Research Development and Innovation Scheme last year, but disbursement must be effective and efficient.

As India tries to reduce the economic pain caused by recent shocks, it must also focus on building long-term resilience. To achieve that objective, the country's unfinished reform agenda can no longer take a backseat to immediate fixes. The government has the policy toolkit; now it needs the political will to use it.

20. Inequality in Évian

Author: Unknown Author | **Date:** Jun 12, 2026 | **Original:** <https://www.project-syndicate.org/commentary/inequality-major-factor-in-many-global-economic-and-political-challenges-by-adriana-abdenur-2026-06>

RIO DE JANEIRO—Nestled between mountains and a pristine lake, Évian-les-Bains, the French town where G7 leaders are gathering this month, evokes an image of stability and prosperity. Yet beyond the summit venue lies a world marked by deepening economic insecurity, political fragmentation, climate change, and distrust in institutions. And at the center of these interconnected crises is a challenge that governments continue to treat as an afterthought: rising inequality.

This G7 summit puts “global imbalances” at the top of its agenda, with French President Emmanuel Macron warning that the international economy is becoming a theater of confrontation rather than cooperation. But if G7 leaders are serious about addressing that problem, they must tackle inequality head-on.

That means abandoning the mistaken view that inequality is primarily a problem for developing countries. Extreme disparities in income, wealth, opportunity, and political influence have become a defining feature of the global economy, affecting rich and poor countries alike. In OECD countries, the wealthiest 10% of households hold roughly half of all household wealth, while the bottom 40% hold around 4%. From stagnant living standards, declining social mobility, and political polarization to growing skepticism toward democratic institutions, the consequences are increasingly visible across the G7 itself.

The question facing G7 leaders, then, is not whether inequality matters, but whether they are willing to recognize it as the systemic problem it has become. Last year, the Extraordinary Committee on Inequality, established under South Africa’s G20 presidency and chaired by Joseph E. Stiglitz and Jayati Ghosh, concluded that the world faces an “inequality emergency.” Among its findings were that one-quarter of people worldwide experience moderate or severe food insecurity; and that the richest 1% of humanity captured 41% of all new wealth created globally since 2000, while the bottom half captured just 1%.

These figures show that inequality is increasingly shaping the rules of the entire economy. For G7 governments, this should raise serious concerns about the priorities they claim to champion.

Consider economic growth. For decades, policymakers assumed that even concentrated wealth would drive investment and innovation. Yet growing evidence suggests that when large shares of national income flow to those already at the top, consumption slows and business dynamism suffers.

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Rising inequality also has become a powerful source of political instability in advanced economies, as frustration with stagnant wages, food prices, housing insecurity, and declining public services fuels anti-establishment sentiment. When a small number of corporations and billionaires control an outsized share of economic resources, they gain disproportionate political influence through lobbying, campaign financing, media ownership, algorithmic manipulation, and privileged access to decision-makers. Public policy then becomes more skewed toward serving moneyed interests, reinforcing the perception that the political system is rigged.

For the G7, which portrays itself as a defender of democratic values, this trend should be alarming. Democracy becomes harder to sustain when citizens believe that political influence can be bought and economic outcomes are predetermined.

The rapid development of AI has added a new dimension to this challenge. AI has enormous potential to drive innovation, productivity, and scientific progress. But without deliberate policy choices, its economic benefits may become concentrated among a small number of firms and countries, potentially at the expense of many workers and communities. Ensuring that AI contributes to broad-based prosperity, rather than reinforcing existing inequalities, should be a top priority.

Inequality also complicates another G7 priority: managing geopolitical competition. The French presidency has correctly identified the erosion of international cooperation as a major challenge. But geopolitical tensions cannot be separated from global disparities. Developing countries are expected to invest in climate-change mitigation and adaptation while carrying unsustainable debt burdens and enduring rising borrowing costs. Yet because the benefits of globalization remain so unevenly distributed, resentment toward existing international institutions is growing, and geopolitical fragmentation is accelerating.

The green transition will succeed only if it is perceived as fair. Citizens will not support ambitious climate policies for which they must bear the costs while wealth and profits remain concentrated elsewhere. Likewise, developing countries will be reluctant to accept stronger climate commitments if financing remains inadequate and debt burdens continue to constrain public investment.

Despite a growing recognition of these challenges, governments still lack a common framework for understanding and responding to rising inequality. The world has developed sophisticated mechanisms for monitoring climate change, financial stability, and public health, but not for tracking inequality. That is why inequality is often treated as a symptom, rather than as a systemic force shaping economic, political, and environmental outcomes. It is also why one of the most important recommendations to emerge from the G20 process deserves serious consideration in Évian: the creation of an International Panel on Inequality.

Modeled on the Intergovernmental Panel on Climate Change, such a body would bring together leading experts from around the world to provide regular, independent assessments of global inequality trends and policy options. It would help establish common metrics, identify successful interventions, strengthen evidence-based policymaking, and elevate inequality to the level of urgency that governments have accorded to other global issues.

An International Panel on Inequality would not dictate policy choices, but it would provide governments with the knowledge to make decisions in a rapidly changing world. Just as climate science has helped shape international action, a shared evidence base for understanding inequality could improve policy coordination and cooperation.

The G7 is uniquely positioned to advance this initiative. Its members continue to wield enormous influence over international financial institutions, development finance, and global economic governance. They can help move inequality from the margins of international discussions to the center of economic policymaking, not as an act of charity, but as an investment in their own future.

If the Évian summit is to be remembered for more than managing immediate crises, G7 leaders should begin by acknowledging that there can be no lasting economic stability, democratic resilience, green transition, or sustainable prosperity without confronting the inequality emergency.

21. Raising Interest Rates Won't Stabilize African Inflation

Author: Unknown Author | **Date:** Jun 11, 2026 | **Original:** <https://www.project-syndicate.org/commentary/africa-interest-rate-hikes-would-fail-to-reduce-inflation-and-hamper-structural-transformation-by-celestin-monga-2026-06>

CAMBRIDGE—African economies began this year facing no shortage of challenges, including lower global demand for their goods and services, unpredictable tariffs and other trade barriers, post-pandemic debt overhangs, structural unemployment, and large net financial outflows. Then the United States and Israel launched their war on Iran, throwing the Middle East into turmoil, halting traffic through the Strait of Hormuz, and compounding inflationary pressures. Now, inflation has reached double-digit rates in some African countries. But the traditional monetary-policy prescription—higher interest rates—will not work to contain it, and might even make matters worse.

To be sure, the International Monetary Fund has recommended monetary tightening, citing high public-debt levels, the risk of “procyclical spending surges” in oil-exporting economies, and the danger of overheating elsewhere. But this advice is analytically unsound, empirically flawed, and strategically dangerous. In fact, monetary tightening would amount to a demand-side remedy for a supply-side pathology.

Africa’s public debt did not arise from consumption. In most countries, fiscal and external deficits do not finance subsidies or excessive recurrent expenditure, but rather critical infrastructure needs and indispensable public services, such as hospitals and schools. These are assets with economic lives of 50 years or more, and productivity multipliers that standard—and short-sighted—debt-sustainability models underestimate.

Above-average growth in countries like Djibouti, Egypt, Guinea, Niger, Rwanda, Ethiopia, Morocco, Ivory Coast, and Tanzania reflects a supply-side expansion—in services, construction, and agriculture—not an unsustainable credit-fueled demand boom. Concerns about “overheating” are thus similarly misguided.

An economy overheats when demand for goods and services significantly outpaces the economy’s ability to supply them, and prices for labor and capital rise, generating demand-pull inflation, which interest-rate hikes can then dampen. But this framework applies in advanced economies with well-functioning labor markets, flexible wages, a capital stock operating near capacity, inflation expectations anchored by a credible central bank, and effective monetary-policy transmission mechanisms. None of these conditions holds for African economies.

Africa’s labor force is predominantly employed in subsistence and smallholder agriculture, the informal economy, and low-productivity services. Because agricultural labor markets are segmented, seasonal, and largely non-monetary in their clearing mechanisms, these sectors are not subject to the wage-setting dynamics that drive demand-pull inflation in industrialized economies. Wage pressure in

the formal sector, which accounts for a small share of total employment, does not fuel economy-wide inflation.

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Rising inflation in Africa is predominantly supply-side, cost-push, and structural in nature. As the IMF itself recognizes, it is driven by events beyond Africa's control, which have raised the prices of goods African countries must buy from abroad, including fuel products, medicines, fertilizers, and food.

Standard macroeconomic theory holds that interest-rate increases work by raising borrowing costs (reducing investment and consumption, thereby cooling demand), tightening credit conditions (compressing spending), and strengthening the exchange rate (attracting capital inflows and lowering the cost of imports). In Africa today, none of these channels is particularly effective.

Start with borrowing costs. Higher interest rates cannot lower fuel or fertilizer prices, let alone resolve the conflict in the Middle East; they will have little impact on the informal urban sector and rural agriculture, which largely operate outside the formal banking system. This includes the smallholder farms providing the food that affects headline consumer price indices, and the informal food traders who set market prices for most African households.

What higher interest rates would do is raise the cost of credit for the small, formal, investable, growth-generating segments of the economy. This would undermine investment—including in critical sectors like energy generation and agro-processing—reducing productive capacity at precisely the moment when supply constraints are generating inflationary pressures.

The exchange-rate channel has some potential in the fight against inflation. But Africa's capital accounts are often partly managed, and capital inflows arrive primarily in the form of foreign direct investment, not interest-rate-sensitive hot money. Moreover, domestic currency movements are determined more by structural trade deficits and global dollar dynamics than by marginal increases in central-bank rates.

A better strategy than monetary tightening would focus on accelerating the structural transformation that the continent badly needs, by channeling finance into productive and employment-creating industries.

To this end, African countries should establish or strengthen national development banks to provide long-term, below-market financing for strategic sectors and crowd in private investment. They should also use targeted credit allocation and refinancing facilities to direct lending toward priority sectors and mobilize domestic savings at scale through public-savings vehicles, sovereign funds, or development-finance institutions. Strict performance conditions and full transparency requirements should be attached to subsidized credit.

Export-credit institutions are also essential, with concessional finance and subsidies tied to measurable performance metrics, such as export targets, to instill discipline and prevent the financial

system from succumbing to political patronage. As their economies mature, African countries should gradually recalibrate their financial toolkits, shifting from debt-heavy directed infrastructure credit to venture capital, equity participation, innovation finance, and regulatory sandboxes.

No economy has achieved structural transformation using textbook inflation-targeting and interest rates. Instead, success has depended on financial arrangements that solved coordination failures, financed long-term investment, and accelerated industrial upgrading. That approach, together with the diversification of food-production and energy systems, would go a long way toward strengthening Africa's sovereignty, stability, and prosperity.

22. Peak Oil Demand Has Arrived

Author: Unknown Author | **Date:** Jun 11, 2026 | **Original:** <https://www.project-syndicate.org/commentary/iran-war-peak-oil-demand-by-carolyn-kissane-2026-06>

NEW YORK—The US/Israeli-Iran war may be remembered for many things, not least the closure of the Strait of Hormuz, the reshaping of Middle Eastern geopolitics, and the damage done to the global economy. But another consequence is less obvious: The largest oil-supply disruption in modern history has accelerated the arrival of peak oil demand.

Four months ago, the effective closure of the Strait of Hormuz triggered a global energy crisis. Oil prices surged, trade flows were disrupted, governments scrambled to shield consumers from rising costs, and businesses were forced to adjust to an increasingly uncertain energy landscape. But amid the disruption, another trend emerged as countries began adapting to life with less oil. What began as a supply shock increasingly became a demand story, forcing the energy sector to reconsider one of its most important assumptions: the continued growth of global oil demand.

Before the war, the International Energy Agency projected that oil demand would “rise by 2.5 mb/d [million barrels per day] from 2024 to 2030, reaching a plateau around 105.5 mb/d by the end of the decade.” The debate was not whether demand would continue growing, but how quickly growth would slow.

Now, the IEA forecasts that global oil demand in 2026 will be approximately 1.3 million barrels per day lower than expected before the war. Some of that decline reflects weaker economic conditions and higher prices, but the remainder reflects adaptation. Faced with constrained supplies and unprecedented uncertainty surrounding the world’s most important energy chokepoint, governments and industries have accelerated their efforts to reduce oil dependence.

Markets have responded accordingly. Oil prices rise on renewed attacks and fall on reports of diplomatic progress. West Texas Intermediate crude ended the first week of June above \$90 per barrel, and Brent crude closed near \$93. While prices have retreated from the highs reached earlier in the conflict, they remain roughly 30% above pre-war levels.

True, in the face of the largest supply disruption in modern energy history, the market response feels surprisingly restrained. But this relative calm masks a more troubling reality: global inventories have been drawn down at a record pace, leaving considerably less cushion should the disruption persist. Before the conflict, roughly 125–140 vessels moved through the Strait of Hormuz daily. The waterway was viewed as vulnerable but dependable, with any prolonged disruption considered unlikely.

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The past three months have demonstrated that the Strait need not be formally closed to be functionally constrained. Reduced tanker traffic, maritime threats, mine deployments, insurance withdrawals, military operations, and persistent uncertainty have disrupted trade flows and forced governments and companies to rethink long-standing assumptions about energy security. Even if a ceasefire is reached, traffic resumes, and mines are eventually cleared, the experience of the past four months cannot be undone.

This forced adaptation is most apparent in Asia, where China may prove to be one of the most important stories of the war. Before the conflict, it was importing roughly 11 million barrels per day. Since then, imports have fallen sharply as it has drawn down stockpiles, adjusted refinery operations, substituted coal for some petrochemical feedstocks, slowed inventory building, and deployed conservation measures. According to several analysts, China's ability to reduce imports has been one of the primary reasons oil prices have not risen as high as many feared.

China's role is especially significant because it has been the dominant driver of global demand growth over the past decade. Between 2015 and 2024, Chinese oil demand increased by nearly six million barrels per day, accounting for roughly 60% of global demand growth. Yet even before the war, the IEA expected China's oil demand to peak this decade, owing to the uptake of electric vehicles, liquefied natural gas-powered trucking, high-speed rail, and demographic changes that would reduce future consumption growth. The war appears to have accelerated this trend.

Nor is China alone. Governments across Asia and other parts of the world have increasingly adopted what can only be described as survival measures. Four-day workweeks, expanded work-from-home policies, restrictions on air conditioning, industrial rationing, emergency subsidies, tax reductions, and direct support for agricultural inputs have all become part of the policy tool kit. More than 100 countries have introduced measures to reduce the economic pain associated with the disruption.

These policies were designed to keep economies functioning, societies stable, and governments in power—reinforcing an argument that Richard Haass and I made in a recent commentary. Energy security can no longer be understood simply as securing adequate fuel supplies. It must also encompass diversification, redundancy, strategic reserves, hardened infrastructure, alternative transportation routes, fuel flexibility, and reduced exposure to single points of failure. The war with Iran has become a real-world test of that framework.

The great irony is that US President Donald Trump returned to office championing American energy dominance and continued growth of hydrocarbons. Yet the disruption associated with his war is accelerating exactly what many oil producers feared: an earlier arrival of peak oil demand. That outcome has been hastened not because climate policy suddenly triumphed, nor because governments collectively decided to consume less oil, but because energy insecurity forced everyone to adapt.

Thus, an enduring legacy of the war lies in how it has reshaped the way governments, companies, and consumers think about energy security. The assumptions that defined the pre-war energy system—abundant supply, reliable transit through the Strait of Hormuz, and confidence that disruptions would be temporary—no longer stand. Three months of disruption, scarcity, and forced adaptation have moved peak demand from the horizon to the rearview mirror.

23. The Enduring Enigma of Economic Growth

Author: Unknown Author | **Date:** Jun 10, 2026 | **Original:** <https://www.project-syndicate.org/commentary/causes-of-economic-growth-still-not-understood-by-andres-velasco-2026-06>

LONDON—Keir Starmer became the United Kingdom’s prime minister by promising to reignite economic growth. Less than two years later, his poll ratings have tanked, and his defenestration is almost a done deal. One reason for his political troubles (there are many) is that the British economy never took off.

Politicians like to pretend that they control the levers of economic growth. But as Starmer’s plummeting popularity shows, that pretense has worn increasingly thin.

The people who call themselves development economists, by contrast, don’t even pretend to know the root causes of growth. A quarter-century ago, they decided that the riddle of why some countries become rich while others stay poor was too tricky to tackle.

If you give villagers a chicken or a pig, will they be less poor two years later? If you de-worm children, will they do better in school? Those are the kinds of questions that have occupied some of the best minds in the development field. As Lant Pritchett, a visiting professor at the London School of Economics, has long argued, it is a massive misallocation of talent.

While some economists dithered, countries and their leaders have been busy trying things out. The results are mixed.

In 1978, China’s then-leader Deng Xiaoping launched his policy of “reform and opening up,” resulting in the fastest economic growth in human history. Since then, the inflation-adjusted income of the average Chinese citizen has risen by a factor of 20, and hundreds of millions have left poverty behind.

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Thirty-five years ago, another demographic giant, India, also embarked on a reform process. The results have been less spectacular than China’s, but still impressive: the average Indian enjoys nearly five times the inflation-adjusted income of 1991.

India and China are not alone. Other countries—among them Vietnam, Bangladesh, Poland, and Turkey—have grown quickly in recent decades. But many more countries have stagnated in the same period.

For example, Brazil and Mexico also stabilized and opened up their economies (Brazil less so than Mexico) in the 1990s, but growth has been anemic. China has overtaken both in income per person,

even though it started out much, much poorer.

Anecdotal evidence can be made more systematic. A recent paper shows that comprehensive policy reforms often precede growth accelerations. Yet the overwhelming majority of such reforms do not produce a growth acceleration at all. Good policy is necessary. It is rarely sufficient.

If that sounds vexing, it should.

But not all is lost. Another group of economists—including the Nobel laureate Philippe Aghion—have provided some clues to the mystery of growth. The key lies in productivity improvements, which over the long haul result only from technological innovation.

Innovation, in turn, requires what economists call rents: abnormally large profits that more than compensate for innovators' costs. But if the rents are too large, established firms will be tempted to use their economic and political power to stifle innovation by would-be challengers. This is a delicate balance that few countries get right.

Businesses in developing countries seldom do the kind of frontier innovation that will yield the next Google or Anthropic. For them, the name of the game is to adopt and adapt the technologies invented elsewhere. But this task is also proving surprisingly difficult.

Developing countries have made enormous progress in many of the factors behind growth. Education levels have risen. Life expectancy has improved. Investment rates have increased. In many countries, institutions are stronger than they were a generation ago. Yet income convergence with advanced economies has been painfully slow—and in most cases absent.

The only plausible explanation for this puzzle lies in the slow diffusion of technology, as Harvard's Ricardo Hausmann has argued. Ideas may cross borders instantly, but productive capabilities do not. I can readily download engineering manuals from the internet. But reading them does not make me an engineer. I cannot be trusted to build a bridge unless I have spent years surrounded by engineers, acquiring and deploying the required know-how.

Moreover, productive capabilities tend to be specific to a single sector. And they do not develop unless demand for them arises in the sector. Luthiers exist only in countries with a violin industry.

This has implications for policy. Markets alone may not generate the capabilities needed for technological upgrading. Governments need to coordinate investments, provide sector-specific public goods and sector-specific skills training, and create an environment in which innovation is rewarded without allowing incumbents to block competition.

Resolving the enigma of why some countries grow rich while others stagnate is hard. But so is curing cancer. That has not kept biologists, research chemists, geneticists, and medical doctors from trying. They have made progress, however slow.

Economists have also made progress, and even more slowly. But they can keep moving forward as long as they focus on the right issues. The challenge, as Pritchett puts it, is to include people "into productivity." The complexity of this challenge can be frustrating. But it is less frustrating than continuing to read academic papers about chickens and pigs while billions still live in poverty.

24. Is the US Stock Market Too Big?

Author: Unknown Author | **Date:** Jun 10, 2026 | **Original:** <https://www.project-syndicate.org/commentary/stock-market-valuations-out-of-step-global-gdp-distribution-by-jim-o-neill-2026-06>

LONDON—Last month, Gemma Cheng'er Deng of King's College London and I launched BRICS+ Thinking, a not-for-profit policy platform aimed at exploring collective solutions to the world's biggest challenges in this age of "us versus them."

To mark the occasion, my former Goldman Sachs colleague Gavyn Davies produced a detailed numerical analysis of what has happened to the world economy since we coined the BRIC (Brazil, Russia, India, China) acronym a quarter-century ago. As far as I know, it is the most thorough, objective analysis of the BRICS economies' actual performance relative to the scenarios we provided in the early 2000s.

Many of Davies's findings are fascinating. For starters, both China and India have vastly outperformed our projections. Their contributions to the grouping's overall growth have been so large that they have more than compensated for underperformance by Brazil, Russia, and South Africa (the latter was added a decade after our original BRIC paper).

Second, China and India have also outperformed in terms of GDP per capita, which is what really matters for the average citizen in each country. Their success thus serves as an inspiration for all other so-called emerging economies.

Third, not only did Brazil, Russia, and South Africa underperform relative to our original scenarios, but so did every major developed economy, including the United States. This is a noteworthy finding, considering that the dominant narrative today is about America's consistent outperformance. While it is true that the US has outshone Europe and Japan, it nonetheless has fallen short of what we expected for it 25 years ago.

Davies also includes a fascinating map to visualize the shifting balance of the global economy. He puts the current center of gravity (in terms of global GDP) somewhere just west of Pakistan, while projecting that it will reach China's border by 2040. This is consistent with the steady eastward drift that has been ongoing since the 1980s.

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Reflecting on this map with a large group of private investors and academics, I realized that it stands in stark contrast to what a map of equity-market valuations would show. Presumably, this center of

gravity would remain squarely in the US. But in that case, one must consider some fundamental questions.

For example, is stock-market performance not anchored in the performance of the underlying economy, as measured by real (inflation-adjusted) GDP? Of course, there is an endless body of literature on the topic, including from my own former team at Goldman Sachs. During my time at the firm, we often found that it was “unanticipated” GDP performance that had the biggest consequences for stock markets. Not surprisingly, a period of unexpectedly strong GDP growth would imply unexpectedly strong earnings, and vice versa.

But what does that say about current US equity valuations, considering that the US economy has not really surprised on the upside so far this millennium? The equity owners who have reaped the greatest wealth gains could be vulnerable to some unwelcome attention from policymakers if the public begins to suspect that they have done much better than the economy’s performance would seem to warrant.

Another pertinent question is whether US equities’ recent performance will persist or revert to outcomes more aligned with GDP growth. The US stock market is currently valued at around \$77 trillion, which is close to half of the total world valuation—a share twice as large as the US share of global GDP (around 25%). This discrepancy suggests either that GDP must accelerate sharply, as some AI optimists believe it will, or that equities are due for a correction.

True, the US share of global equity-market valuations was also close to 50% back in 1980. But that was before China and India had comparable equity markets. At the time, continental Europe, the United Kingdom, and Japan accounted for the remaining shares, with around 13%, 8.5%, and 15%, respectively. But today, Europe’s share is still about the same, while Japan’s has fallen to 5-6%, and the UK to a paltry 2.5%.

Meanwhile, China’s global share has grown to around 10%, India’s has reached 5%, and the BRICS collectively now account for around 20%, which is considerably larger than the 10% share that we projected in another early Goldman Sachs paper. And yet, in China’s case, this much larger market capitalization nonetheless remains significantly smaller than its respective share of global GDP, which is the inverse of the situation in the US.

Recall that during the Japanese market’s peak around 1990, its market capitalization was around 45% of the world total, compared to 30% for the US at the time. Could the Japanese experience over the subsequent 36 years be indicative of the US market’s own future? As we enter this season of landmark AI initial public offerings, investors ought to keep that question firmly in mind.

25. Brazil's Bad Vibes

Author: Unknown Author | **Date:** Jun 10, 2026 | **Original:** <https://www.project-syndicate.org/commentary/brazilian-economy-strong-with-negative-public-sentiments-by-laura-carvalho-and-guilherme-klein-2026-06>

SÃO PAULO—Brazil's economy is doing well by almost any measure. GDP has grown at around 3% for three consecutive years, unemployment is at historic lows, and inflation has fallen from a post-pandemic peak of over 12% to around 4%. And yet, with a presidential election coming this October, Brazil—like the United States during Joe Biden's presidency—appears to be suffering a “vibecession.” Despite strong macroeconomic data, half of Brazilians believe the economy has gotten worse over the past year, whereas only one in four thinks it has improved.

Such a disconnect is not new. The 2022-24 period was a graveyard for political incumbents in the democratic world. From the US and the United Kingdom to France and Japan, those in power paid a price for a shock they could not undo through monetary tightening alone. What made the trend so disorienting was that it persisted even where inflation-adjusted incomes had risen. This dynamic is now well documented. When wages go up, people attribute it to their own merit; but when prices go up, they experience it as something that was done to them. Their losses then become anchored in memory, preventing economic stabilization from being fully appreciated.

Brazil is no exception. In 2024, Brazil's poorest 40% experienced a higher rate of inflation than other cohorts, because price increases were concentrated in essentials, and President Luiz Inácio Lula da Silva's approval among low-income voters fell by almost 17 percentage points. Although inflation for the bottom 40% then fell below the overall rate in 2025, memories of the economic pain will remain. Moreover, middle- and upper-income groups have also soured on Lula, even as their real income has grown and inflation has been contained.

The vibecession has been especially brutal for Lula because voters are not comparing him to his two immediate predecessors, who presided over an economy with average growth barely exceeding 1.4% per year. Rather, they are judging him against his own first two terms (2003-2011), when GDP growth averaged over 4%, and an entire generation experienced genuine social mobility for the first time. Moreover, Lula's first presidency was followed by one of the worst decades in the Brazilian economy's modern history. Because the poorest half of Brazilians did not return to their 2014 real income levels until the current term, today's growth feels like a recovery from past losses, not newfound prosperity.

The aspiration gap compounds this feeling. Social media has dissolved the local reference group that once defined what a decent life looked like. An informal worker in São Paulo's periphery now scrolls through the same feeds as a middle-class consumer in Seoul or Milan. When aspirations outpace income, household debt fills the gap. The share of income devoted to debt service rose from 22% in 2019 to 29.7% by the end of 2025, while more than 80% of households are indebted—an all-time high in Brazil.

Worse, with credit-card revolving rates running above 14% per month, debt service is compressing disposable income, further widening the aspiration gap. Interest-rate hikes that were supposed to control inflation have ended up deepening the financial distress that feeds economic pessimism. Monetary policy is rubbing salt in the socioeconomic wound.

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Then there is the quality of jobs. Past investments in education have created the largest cohort of university graduates in Brazil’s history, but the labor market has not caught up. The share of workers employed below their qualification level has risen from 26% to nearly 38% over the past decade. With college-educated Brazilians struggling to attain the same prosperity as their parents, many are coming to the dangerous conclusion that macroeconomic policies no longer matter.

When an election is fast approaching, the temptation for any politician would be to abandon the long game and focus on placating voters immediately. Such an approach often comes in the form of price controls, household credits, fiscal transfers, or any other measure to create the appearance of “doing something.”

But if a government narrows its agenda to focus only on short-term sentiment management, it will eventually find that it has traded away the only policies that could address the underlying causes of the economic anxiety. In a developing country like Brazil, growth remains the indispensable condition for everything else. When the economy slows, it is the most vulnerable who pay first.

Worryingly, the lesson that many incumbents drew from the Democrats’ 2024 defeat is that industrial policy cannot deliver within an electoral cycle. This attitude must be resisted. The mismatch between education levels and job creation illustrates precisely where industrial policy is needed. A proactive government would view the green transition as an opportunity rather than a burden.

Reducing inequality also matters, and this is one area where Lula’s third term has broken new ground. After Lula’s first two governments concentrated redistribution at the bottom of the income ladder, he has now begun to address concentration at the top. Under an income-tax reform this year, the highest earners now face a minimum rate, and the government could still go further. The case for doing so is not only about equity. Progressive taxation is how you create the fiscal space for public investment and services without borrowing at rates that transfer income back to the top through debt service.

Alongside vertical redistribution, Brazil also needs horizontal policies to establish universal floors. Surveys consistently show that policies with broad and diffuse beneficiaries—like minimum wages or public services—build more resilient coalitions than targeted ones that sort people into givers and receivers. A workweek reduction, approved recently by the lower house with 71% public approval, fits this logic. So do public transportation subsidies and expanded health care. The European standard of living that Brazilians see on their phones is built not only on higher wages but on socialization of a significant share of costs.

That cannot happen overnight. A government that abandons structural agendas whenever sentiment turns negative will still be managing sentiments four years later—with nothing to show for it.

The vibecession is real; but winning the news cycle is not a solution. The antidote lies in gradually shaping the economy so that growth reaches people, public services reduce living costs, and the structure of production can absorb the population the education system has trained. Brazil has all the pieces. It should not lose faith in its capacity to assemble them.

26. Where Is China's Trillion-Dollar Trade Surplus Going?

Author: Unknown Author | **Date:** Jun 9, 2026 | **Original:** <https://www.project-syndicate.org/commentary/changing-use-of-china-trade-surplus-reflects-financial-opening-and-deepening-by-miao-yanliang-2026-06>

KYOTO—China's export engine remains remarkably powerful. The country ended 2025 with the world's largest-ever merchandise-trade surplus—\$1.2 trillion—underscoring its enduring industrial competitiveness. But that money is not going where it used to go.

To be sure, that \$1.2 trillion figure, which comes from customs data, is somewhat misleading. The balance of payments (BoP)—which records transactions between residents and non-residents of a country—shows a slightly smaller surplus of around \$1.1 trillion.

The money available for recycling is smaller still. While China boasts a huge surplus in trade in goods, it runs a significant services deficit—\$238 billion in 2025, including nearly \$199 billion in outbound tourism spending. China also runs a primary income deficit of \$110 billion, reflecting profits and dividends paid to foreign investors in China. The country's current-account surplus for 2025 thus amounted to \$735 billion—a record-breaking figure, to be sure, but much smaller than the headline-grabbing goods surplus.

But it is the way such capital is used that tells us the most about China's economic trajectory. In the early 2000s, this was a straightforward process. The People's Bank of China (PBOC) would intervene to absorb foreign exchange, which it channeled into official reserves, to be invested in US Treasuries and other sovereign assets. In 2002–11, China's foreign-exchange reserves increased by nearly \$300 billion annually.

Things changed around 2012, following the end of the Compulsory Foreign Exchange Settlement and Sales System, which had required domestic institutions and residents to sell all their forex income to designated state banks. As Chinese companies gained the freedom to retain their foreign earnings, the link between trade surpluses and reserve accumulation was loosened, though the PBOC retained ample reserves.

Around 2015, expectations of renminbi depreciation prompted firms and investors to adjust their forex positions: companies accumulated dollar deposits, repaid foreign-currency liabilities, and shifted funds offshore. In other words, instead of being converted into domestic foreign-exchange receipts, the surplus was increasingly held as foreign-currency assets.

After the COVID-19 pandemic, however, another shift took place, reflecting China's continued financial opening. The private sector is still taking the lead in recycling the surplus, but it is no longer operating out of fear. The renminbi is now stable and has even appreciated against the dollar. Instead, investors and firms are searching for yield, largely through portfolio investment in bonds and equities.

The sum of a country's international transactions—the so-called BoP identity—must be zero, which implies that if the current-account surplus is no longer absorbed by the PBOC through reserve accumulation, it must be matched by an increase in foreign assets or a reduction in foreign liabilities, leaving aside errors and omissions. China's non-reserve financial account recorded a deficit of about \$820 billion last year, broadly mirroring the current-account surplus.

Portfolio investment—especially through the Qualified Domestic Institutional Investor program and Stock Connect—was the largest component of the financial account, totaling for more than half the deficit. Net outflows through this channel reached \$426 billion in 2025, with mainland investors adding roughly \$208 billion to their overseas equity portfolios and \$153 billion to their foreign debt portfolios.

While some portfolio investment is taking place within China, a much larger share of equity flows went to Hong Kong. Southbound flows through the Stock Connect scheme reached HK\$1.4 trillion (\$178.6 billion) last year, up 74%. This broadly matches the equity outflows recorded in China's BoP data.

Chinese companies are also increasing their direct investment abroad, which rose by \$140 billion last year. Although net outflows in this category amounted to only \$77 billion in 2025, direct investment remains an important outlet for surplus capital as Chinese firms expand overseas.

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What do these data tell us about China's economic trajectory? More of the country's trade surplus is now showing up as foreign-exchange receipts, and the proceeds are being recycled through market-based channels, rather than official reserves. As China's manufacturing sector becomes increasingly competitive and generates larger external surpluses, more capital is likely to seek offshore assets.

Hong Kong—with its deep equity market, strong financial infrastructure, and Stock Connect link with mainland investors—is well placed to absorb a meaningful share of these flows. Already, it is playing a more constructive intermediary role than ever before. This will advance China's strategic goal of developing offshore renminbi markets and deepening cross-border financial integration.

These developments create new considerations for market participants. Flows driven by private portfolio decisions could be more responsive to market conditions—including yield differentials, exchange-rate expectations, and global risk appetite—than flows managed through official reserves.

The question used to be whether China's surplus would become foreign-exchange reserves, traditional US assets, or bank deposits. The answer is now clear: China's surplus is being recycled primarily through portfolio investment, cross-border banking flows, and Hong Kong's capital markets, indicating China's progress on financial deepening and underscoring markets' increasingly central role in shaping the economy.

27. The Trump Economy Is Bad News for Republicans

Author: Unknown Author | **Date:** Jun 8, 2026 | **Original:** <https://www.project-syndicate.org/commentary/trump-economy-bad-news-for-republicans-midterms-by-desmond-lachman-2026-06>

WASHINGTON, DC—The Democratic political strategist James Carville famously dictated a mantra for Bill Clinton’s successful 1992 presidential campaign: “It’s the economy, stupid.” That’s true in this November’s midterm election as well, and President Donald Trump’s Republican Party would seem to be in for a shellacking.

Not only has Trump failed to deliver on the economic promises he made during his 2024 election campaign. He also keeps making the same mistake that President Joe Biden did. By insisting that the US economy has never been better despite sky-high fuel prices and a burgeoning affordability crisis, he is demonstrating an utter lack of awareness—both about the economy and about his own poor job performance. Worse yet, when challenged, he becomes dismissive, expressing indifference to the electorate’s distress.

Consider what the latest figures say about inflation, which is the public’s number-one economic concern. On the campaign trail, Trump promised not simply to bring down inflation (the rate of price growth) but to bring down the price level (what things actually cost). But with wage gains falling short of inflation, he has clearly failed to deliver on this bread-and-butter issue. Come Election Day, the average American worker will be worse off than at the start of Trump’s second term. The average price level will be at least 7% higher than when Trump returned to the White House, while the rate of inflation will have accelerated to almost 4%.

Meanwhile, the electorate will remember that the Iran war increased gasoline prices by 50% (to around \$4.50 per gallon on average). Voters may also remember that Trump’s “One Big Beautiful Bill” made health insurance less affordable for around 20 million households, and contributed to continued high mortgage rates that are keeping home ownership beyond the reach of far too many Americans.

It goes without saying that Trump will seek to shift blame for inflation away from himself. But this will be a tough sell. Aside from MAGA diehards, everyone knows that Trump’s fingerprints are all over the affordability problem. By aggressively raising import tariffs and pursuing mass deportations, he has single-handedly driven up the price of imported goods as well as many domestically produced goods and services. Similarly, by launching a war of choice against Iran, he caused sharp increases in gasoline, diesel, and fertilizer prices. These costs are sure to put him on the back foot even with his rural base, which has also suffered from reduced agricultural orders from China.

It also goes without saying that Trump has failed to usher in the economic golden age that he promised in his second inaugural address. Last year, despite a strong tailwind from the AI investment boom, the economy’s overall economic growth rate (2.1%) was lower than the average (2.7%) recorded during the last three years (the post-pandemic phase) of the Biden administration. And the economy appears to

have slowed appreciably in the first half of this year, owing to the energy-price shock from the Iran war.

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Given this worsening performance, it will be even more difficult for Trump to deflect attention from his chaotic, counterproductive economic policy. Since the day he returned to office, the economy has been mired in uncertainty, which has inhibited investment almost everywhere except the AI sector.

One of Trump’s key goals was to eliminate the US trade deficit and generate manufacturing employment through an aggressive tariff policy, which hiked import levies to their highest level in a century. Yet here, too, he will have little to show the electorate for his efforts. Last year’s trade deficit was practically unchanged from 2024, and manufacturing employment has continued to decline. Moreover, most voters recognize that Trump’s tariffs are a principal driver of inflation.

The one talking point that Trump now has for the investor class is a booming stock market that keeps setting new records, presumably reflecting hopes that AI will spark a productivity revolution. But this “win” is unlikely to resonate with the vast majority of voters who consider affordability the most important issue, especially when made aware of Trump’s own stock-trading activities. Nor can one rule out the possibility that the war with Iran and rising US Treasury bond yields could bring on a (much-overdue) stock-market correction before the midterms.

Those who live by the sword die by the sword. Trump triumphed in 2024 by continually hammering on the Biden administration’s dismal inflation record. If Republicans do get a shellacking in November, it will be because he has made Americans even worse off. Shamelessly enriching himself and his extended clan merely adds insult to injury.

28. SpaceX Is the New East India Company

Author: Unknown Author | **Date:** Jun 8, 2026 | **Original:** <https://www.project-syndicate.org/commentary/spacex-as-modern-day-east-india-company-could-escape-sovereign-control-by-alessio-terzi-and-stefano-marcuzzi-2026-06>

CAMBRIDGE—When SpaceX lists a fraction of its shares on the Nasdaq later this week, at an anticipated valuation around \$1.75 trillion, it will be the largest initial public offering in history. Investors are being asked to price a company that builds rockets, runs the world’s dominant satellite-internet network, and increasingly underwrites the military communications of the US and its allies (though these successful businesses must be weighed against the cash-burning AI venture that Elon Musk has bundled into the same corporate structure).

The SpaceX prospectus tells an ambitious, singular story: this is a high-growth technology champion that deserves to stand alongside the world’s largest and most powerful companies. But history suggests another, less reassuring trajectory, because the enterprise that SpaceX most resembles is not Apple or Nvidia. It is the East India Company, which lasted nearly 300 years.

To be sure, SpaceX is not about to tax populations or rule over human subjects, as the chartered companies founded in the early modern era eventually did. Space has no inhabitants (that we know of). Still, we are dealing with a firm that is operating beyond the reach of any sovereign, and which has already accumulated immense powers that governments are belatedly struggling to reclaim.

Between roughly 1570 and 1860, European states projected power into and across ungoverned oceans through chartered joint-stock companies—the British, Dutch, and French East India Companies chief among them.

The chartered companies were hybrid beasts, commercial ventures that also served as instruments of the state. They built monopolies, exploited the absence of law to write their own rules, and carried out sovereign functions—from minting money and policing local populations to fighting wars and signing treaties. Edmund Burke called the East India Company “a state in the guise of a merchant,” and the same configuration is now being reassembled in Earth’s orbit.

First, consider the question of monopoly. By landing and reusing its boosters, SpaceX solved a chicken-and-egg dilemma. Because reusability is profitable only at a high launch frequency, the company built Starlink, a constellation of thousands of satellites whose growth and upkeep guarantees a steady launch cadence. Rivals without both the rockets and the captive demand for satellite connectivity cannot easily break in.

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As we document in a new paper, SpaceX's share of global mass launched into orbit has risen from under 10% in 2014 to nearly 80% today, and to 94% in the United States, where it counts NASA among its biggest customers. In the process, SpaceX has claimed scarce orbital slots and radio spectrum, raising entry barriers for future newcomers. This is not the oligopoly of textbook technology markets. It resembles something older.

Then there is the legal vacuum. The 1967 Outer Space Treaty was written for a world in which governments held a monopoly on space. It states that "outer space is not subject to national appropriation by claim of sovereignty, by means of use or occupation, or by any other means," and it reserves space "for the benefit ... of all mankind"; however, it supplies no machinery for enforcement.

It was into this yawning gap that the US introduced the Commercial Space Launch Competitiveness Act in 2015 and the Artemis Accords in 2020, which assert that extracting resources is not "appropriation." That was exactly the change SpaceX needed. Likewise, a company's charter three centuries ago was both a license to trade and a unilateral claim dressed up as law. In both cases, first movers wrote the rules for themselves.

Yet another parallel is the blurring of sovereign and private. Recall that in 2022, Musk refused to switch on Starlink over Crimea to enable a Ukrainian strike on Russia's fleet. A private individual effectively vetoed the decision of a sovereign state, and not even the US government could easily override it. As activity moves to the moon, SpaceX will be in a position to exert significant influence on setting standards, managing resource claims, and policing the "safety zones" that the Artemis Accords allow states to declare. Thus, a private company may provide the answers to fundamentally sovereign questions.

Just as Britain granted the East India Company its charter to prevent the Dutch from cornering the spice trade, the US has empowered SpaceX in its race to achieve strategic dominance in space before China does. Yet the more indispensable the firm becomes, the less authority the state will retain. This fragility was on full display last year when President Donald Trump and Musk publicly feuded. Trump threatened to cancel SpaceX's government contracts, and Musk threatened to sever the US government's access to the International Space Station. A nominally sovereign power found itself dependent on an actor it could court but not command.

The lesson from the era of the chartered companies is that such power, once entrenched, is maddeningly difficult to claw back. Britain reined in the East India Company seriously only in 1858, after a famine, a fiscal crisis, and a violent revolt (what the British call the "Great Mutiny" and Indians "The First War for Independence") made inaction impossible. Yet by that point, the cost of doing so was ruinous.

The same history also suggests what governments should do now, before it is too late. The aim of restoring control is not to break a champion but to limit the state's dependence on it. The East India Company's continental peers are the better guide here. The Portuguese and French crowns each held equity in their respective charter companies, thus securing a measure of strategic control from within. A government-appointed board seat in firms that wield sovereign-like powers, or a minority stake of the kind that the US recently took in Intel, would ensure oversight of safety zones, resource claims, and critical infrastructure without smothering the private incentives that made the sector dynamic.

The window for gaining some control over the behavior of today's emerging tech sovereigns is closing fast. The question for policymakers is whether knowing what the East India Company became is enough to keep its 21st-century successor off the same path. The SpaceX IPO is a good moment to ask.

29. The ECB Should Not Raise Interest Rates Yet

Author: Unknown Author | **Date:** Jun 5, 2026 | **Original:** <https://www.project-syndicate.org/commentary/ecb-should-not-raise-interest-rates-yet-by-philippe-legrain-2026-06>

LONDON—The European Central Bank appears set to raise interest rates on June 11. Policymakers' statements suggest this, markets expect it, and the ECB's economic analysis provides a rationale for it, highlighting concerns that the energy-price shock caused by the Iran war will lead to a sustained rise in eurozone inflation.

The last thing the ECB wants is to repeat the mistakes of 2022, when it failed to keep a lid on prices after the COVID-19 pandemic and Ukraine war shocks. But the ECB is at risk of fighting the last war. It should base its interest-rate decisions on facts, not fears.

To be sure, the ECB's fears are not unfounded. The Iran war has triggered a spike in headline inflation in the eurozone. With energy prices up 10.9% in the 12 months to May, annual inflation rose from 1.9% in February to an estimated 3.2% in May—well above the ECB's 2% medium-term target.

Furthermore, the closure of the Strait of Hormuz is continuing to disrupt global supplies of oil, gas, fertilizer, and other important commodities. If US President Donald Trump fails to reach a deal with Iran that gets trade flowing again soon, energy prices could rise further.

Since this energy shock is global, it could prove proportionally more inflationary than the 2022 Ukraine war shock, which disrupted Europe's oil and gas supplies from Russia but did not have as big an impact outside the region. Given that eurozone inflation reached 10.6% in late 2022—a humiliating failure for European central bankers—the ECB's desire to take preemptive action this time is understandable.

But fear should not dictate policy, and today's economic context is very different from that of 2022. When Russia launched its full-scale invasion of Ukraine, the eurozone was in the midst of a post-pandemic inflationary boom. Supply chains were stretched, labor markets were tight, the economy was growing strongly, and inflation was 5.9% and rising. The Russian energy shock added fuel to an already raging fire.

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By contrast, today's eurozone economy is characterized by weak growth, subdued wages, and elevated market interest rates. Eurozone GDP grew by a meager 0.1% in the first quarter of this year, and pre-war price pressures were limited. Even in May, core inflation, which excludes volatile energy and food prices, amounted to an estimated 2.5%—only fractionally higher than in February. Services inflation, a

key measure of broader price pressures, reached an estimated 3.5%, but this represents only a marginal increase from February (3.4%). Medium-term inflation expectations remain contained, having edged down in April.

Indeed, wage growth is easing, and job vacancies are falling. Moreover, consumer and business confidence have plunged since the start of the Iran war, threatening a recession and lowering the likelihood that an energy-price spike will lead to persistently higher inflation. Bond markets have also tightened financial conditions significantly: governments' borrowing costs, and banks' funding costs, have risen sharply. With bank lending standards becoming stricter, so are credit conditions for businesses and households. Were the ECB to raise its benchmark rate from its current 2%, it would compound the pain.

As a rule, policymakers should look through a temporary rise in energy prices, especially when it is caused by a geopolitical shock that is likely to sap demand, thereby curbing wider inflationary pressures. Because the eurozone is a major oil and gas importer, higher energy prices make businesses and households overall poorer, suppressing consumption and investment. Geopolitical and economic uncertainty compound this effect—and the risk of recession. Against this backdrop, the ECB should act only when there is convincing evidence that higher inflation is becoming entrenched.

ECB President Christine Lagarde has pledged to take a “data-dependent,” “meeting-by-meeting approach” to interest-rate decisions. As it stands, the data provide grounds for vigilance, not an immediate rate hike.

This all the more true because oil and gas prices may have already peaked. Benchmark Brent crude oil prices are down 15% over the past month, and European natural-gas futures have fallen more than one-fifth from their March high. Overall, energy prices in the eurozone fell by an estimated 1.1% in May.

Of course, a prolonged standoff, or renewed escalation, in Iran could cause prices to soar again, and inflation could become entrenched, as the ECB fears. But prices could also plunge tomorrow, if a peace deal is reached, and inflation could abate. Rightly or wrongly, energy markets currently expect oil prices to decline by the end of the year—and businesses can lock in those lower prices now if they want.

While it might seem wise to hike interest rates preemptively, the opposite is true: when the economy is fragile and the future uncertain, the pragmatic thing to do is hold your fire. The ECB should have learned this lesson in 2011, when it responded to a temporary oil-price and inflation spike by hiking rates twice, even as the eurozone grappled with a financial crisis. This catastrophic blunder caused the economy to tank, forcing the ECB to reverse course quickly. If Europe's central bankers again tip the eurozone into recession with another premature rate hike, they will shred their credibility once more.

30. When Markets Run on Empty

Author: Unknown Author | **Date:** Jun 5, 2026 | **Original:** <https://www.project-syndicate.org/commentary/consumer-corporate-government-spending-levels-cannot-continue-indefinitely-by-mohamed-a-el-erian-2026-06>

CAPE TOWN—As summer begins, a detached observer of global affairs might conclude that financial markets are facing darker days. A major, energy-disrupting conflict in the Middle East has now entered its fourth month, and the cascading effects of inflationary pressures and insufficient growth in several advanced economies are still working their way through the global system, with a recognized yet unpredictable lag.

But glance at your average broker's computer screen and you will see a starkly different reality—a dissonance that strains most conventional models. By the start of June, the S&P 500 had recorded nine consecutive weeks of gains. Major indices across the United States and Asia have not merely shrugged off the geopolitical turmoil; they have climbed to one new record after another.

This remarkable decoupling reflects a singular, powerful narrative that is more than compensating for the strengthening headwinds facing the global economy: the promise of AI. The market is understandably enthralled by visions of a looming productivity miracle, betting that the efficiencies and growth unlocked by AI will be sufficient to outpace the gathering forces of stagflation, debt, deficits, and economic inequality.

But to anticipate what lies ahead, it helps to supplement the AI-driven narrative with a simple yet essential reminder: the willingness to spend and the ability to spend are two different things. This critical distinction applies universally across households, corporations, governments, and investors.

So far, all key actors' remarkably resilient willingness to spend has been matched by a sufficient, though increasingly engineered, ability to do so. But this willingness has not been funded just by current income or organic cash flow. It has also been facilitated by a massive drawdown of buffers—financial, strategic, and psychological—and an accelerating reliance on leverage (debt). The longer that the war-induced disruption to energy markets and supply chains persists, the less likely that this capacity can keep pace with the willingness to spend.

But why has the willingness to spend been so resilient? The reasons differ across groups. For households, the post-pandemic era has been marked by a psychological aversion to cutting back on “experiences” and consumption. In the corporate sector, CEOs are driven by an existential imperative to invest heavily in AI or risk obsolescence, with FOMO (fear of missing out) apparently becoming an important capital-allocation metric.

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As for governments, pressure from polarized electorates, together with higher defense spending, has made it very difficult to reduce deficits, even with interest bills ballooning as low-cost debt is refinanced at a significantly higher cost. And, finally, investors, conditioned by a decade of “central-bank puts” and repeated gains, have embraced “always buy-the-dip” (regardless of the cause) as a core tenet of portfolio management.

Given these dynamics, it is safe—though discomfiting—to assume that the willingness to spend will remain strong, bordering on the irresponsible. The key question for the global economy and markets, then, is whether the ability to spend will keep up. The evidence suggests that there is a limit.

Energy consumption provides the most immediate signal. To maintain economic activity despite disrupted shipping through the Strait of Hormuz, many countries have drawn down energy inventories, including the US Strategic Petroleum Reserve. Such buffers are, by definition, finite. When they reach their lower bound, real consumption must adjust to the higher prices dictated by an impaired supply chain (should the strait remain effectively closed). The result is “demand destruction.”

Similarly, the resilience of US consumers—often an engine of global growth—appears to rest on shaky foundations. Recent monthly data indicate that consumption has been maintained partly through dissaving and borrowing. Yet credit-card delinquencies and auto-loan defaults are now rising rapidly, suggesting that the ability to spend is already stretched for lower-income households. Equally, corporations have significantly increased borrowing to fund capital expenditures, while also still inclined to buy back their shares. Like governments, they seem intent on continuing to do so despite higher market rates.

Investors have shown a remarkable willingness to fund all this, treating rising interest rates not as a headwind but as proof of economic resilience. Capital markets’ appetite for new debt remains robust, even on the eve of some of the largest projected initial public offerings in history—the equities of SpaceX, Anthropic, and OpenAI. But the liquidity buffers that have underpinned this optimism are eroding. Asset-allocation surveys, such as those recently conducted by Bank of America, show that global fund managers’ cash balances have fallen to extraordinarily low levels, implying that the system is already virtually “all-in” on stocks.

Given the complexities of the global economy and market-liquidity dynamics, no one can predict with certainty how close we are to the moment when the ability to spend can no longer keep up with the willingness to do so. This is frustrating. But as an analytical matter, we can be quite certain that the longer the energy-disrupting war in the Middle East continues, the closer we will get to the moment of truth. And without an end to the conflict, we will be approaching that point at an accelerating rate.

31. The Key Forces Now Shaping Markets and Geopolitics

Author: Unknown Author | **Date:** Jun 5, 2026 | **Original:** <https://www.project-syndicate.org/commentary/key-forces-shaping-markets-geopolitics-ai-unreliable-america-global-tail-risks-by-ian-bremmer-2026-06>

NEW YORK—It's a fascinating moment for international politics and global markets. The world is in turmoil, primarily because the United States, still the dominant superpower, has become a fundamentally unreliable actor. President Donald Trump is actively pulling apart the international order that the US built and led over the past 80 years. Yet financial markets are riding high, not just in the US but also in East Asia, South America, and much of Europe. Are investors wrong, or is the picture more complex than this seeming contradiction suggests?

Though the situation is indeed complicated, three major factors will shape global politics and markets for the next several years. First, there are virtually no political constraints on the accelerating development of AI, which is the driving force behind the market rally and, for better and for worse, is set to continue virtually unchecked. The most important technological revolution in history—one that will create both extraordinary opportunities and unprecedented dangers—has arrived during a “geopolitical recession,” when the existing global system is giving way to something new that we can't yet see.

The accelerating breakdown in relations among major governments will leave AI with virtually no effective regulation. The companies creating the frontier models are now functioning as sovereign geopolitical players, because their inventions will prove essential to our future security and prosperity. It is the law of the jungle, applied to cutthroat (and exceptionally well-funded) technology competition. There is an AI “arms race” not only between the US and China, but also among companies like OpenAI, Anthropic, and their competitors. The incentives for growth over caution are undeniable.

Second, the market effect of go-go AI growth will be offset by a continuing political tax on globalization. For a half-century, the main driver of global economic growth was the US push for open markets to accelerate cross-border flows of ideas, information, people, goods, services, and, most importantly, capital. But the US is no longer driving globalization. Instead, it is leading a push to use trade and financial relationships for narrow political gain, forcing other governments to embrace protectionism to shield their own industries and workers. (Although Trump has intensified this trend, it is worth remembering that the Democrats were backing away from free trade before he arrived on the scene.)

The result is a profound shift from positive-sum to zero-sum thinking. True, other countries remain reluctant to scrap globalization, as demonstrated by recent breakthrough trade agreements involving the European Union, India, Mercosur (Argentina, Brazil, Paraguay, and Uruguay), China, Canada, and others. But the global trend toward politically motivated protectionism represents the new normal, for now.

Third, the world is producing more and fatter “tail risks”—truly devastating and still unlikely outcomes that are no longer as improbable as they once were. An unreliable superpower forces its traditional allies to hedge their security and economic bets as rivals test what has become possible. Greater friction among governments makes international problems more difficult and costly to resolve.

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Consider the US-Israeli war with Iran. Trump’s decision to attack the Islamic Republic was born of overconfidence, but it also reflects the breakdown in America’s relations with its allies—who had no influence on US decision-making. The result was the most severe trade disruption since the COVID-19 pandemic.

True, the war has not yet triggered a global economic recession. But regardless of what happens with the Strait of Hormuz or another potential round of negotiations over Iran’s nuclear program in the near term, there is now a perpetual risk that hostilities could reignite at any time, with even greater global implications. Moreover, the Middle East is now a more dangerous place, with more space for rogue actors to operate, and with unconstrained US retaliation likely to radicalize others—be they militant groups like the Houthis in Yemen, terrorist groups like the Islamic State and its descendants, or lone wolves empowered by dangerous new technologies.

Nor are these the only globally consequential, geopolitically induced tail risks. It currently looks like Ukraine has momentum in its war against Russian aggression. But that means President Vladimir Putin will be in an increasingly dangerous state of isolation. The closer Ukraine comes to humiliating the Kremlin, the greater the risk that Putin might turn in desperation to a tactical nuclear strike or more aggressive and direct attacks on frontline NATO countries to change the game. These outcomes are made more plausible by the White House’s recent renunciation of any role in brokering an end to the fighting.

None of these dangerous scenarios is likely; but they have become more likely than many are willing to admit. And these are just the risks that are already visible. A lack of governance on AI and other new weapons of war will make any future conflict less predictable and more dangerous. The absence of coordination on global health—the US government is less willing to lead, and the World Health Organization has been deprived of resources—makes a future pandemic more likely to develop and less likely to be contained.

In short, the technological breakthroughs that have markets surging are likely to continue, but the risk of large-scale disruption is rising, too. Much could go right, or at least as expected—until it doesn’t.

32. Europe's Competitiveness Bogeyman

Author: Unknown Author | **Date:** Jun 4, 2026 | **Original:** <https://www.project-syndicate.org/commentary/protections-from-chinese-exports-will-not-restore-european-industrial-competitiveness-by-daniel-gros-2026-06>

BRUSSELS—China looms large in trade-policy discussions everywhere, but the precise concerns vary. Whereas the United States has long regarded China as a destroyer of American industry and a geopolitical rival whose rise must be contained, Europe has been more concerned about the national-security implications of Chinese dominance in a few strategic sectors, such as rare-earth minerals. Recently, however, European policymakers have begun sounding more like their American counterparts, arguing that surging Chinese imports threaten domestic industry.

While China's dominance in sectors like rare earths always had strategic implications for Europe, it did not mean much for European employment or output. And the competitive pressures European Union firms did feel from China were largely offset by European industry's strong foothold within China.

This is now changing. European companies find it increasingly difficult to compete in the Chinese market, even if they are heavily invested there, while Chinese exports to Europe are surging. The EU's bilateral trade deficit with China reached nearly €360 billion (\$419 billion) last year—almost double that of the US—affecting many of Europe's core industries, such as automobiles.

Chinese exporters are bolstered by vast government subsidies and policies focused on ensuring dominance in high-tech industries, compounding Europe's frustration. Now, calls for European leaders to protect domestic industry from Chinese competition are growing louder, with even figures who have criticized US President Donald Trump's tariffs advocating for Europe to respond to “unfair” Chinese subsidies with levies of its own.

It's a politically potent argument, but it is not based on sound economics. Fairness does not factor into a rational economic policy. What matters is whether a given action—such as introducing tariffs or even disregarding World Trade Organization rules (because “others are doing it”)—would bring net benefits to the economy. And, in this case, the answer is no.

It might seem obvious that imposing a tariff on imports from China would give European industry a leg up against its strongest competitor. But this protection comes at a high cost. For starters, intermediate inputs comprise over 40% of total EU imports from China, meaning that tariffs would increase the costs of production throughout the European economy. A tariff on batteries, for example, would place considerable strain on producers of battery electric vehicles, imperiling the EU's large trade surplus in the sector.

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This surplus is important. Warnings that Chinese imports pose a threat to European automakers usually focus on the number of Chinese vehicles entering Europe, noting that China-made cars now account for 7% of car sales in the EU. But nearly 40% of the EU's total car production is for export, and the unit value of European auto exports is twice as high as that of imports from China. This implies that export markets may account for up to half the value of production.

For the auto industry, like many others, success in export markets is necessary not only to survive, but also to retain technological leadership. For now, Europe is often exporting high-end differentiated products, which are not interchangeable with the imports China has to offer. But Europe's advantage on this front is rapidly being eroded, as Chinese producers climb the quality ladder.

It is far from clear that tariffs would preserve European competitiveness against Chinese exports that can compete in global markets on price, standards, and innovation. In fact, recent data show that the key problem for Europe is not so much surging imports, but the weakness of extra-EU exports, which have been declining for four consecutive quarters (until Q1 of this year).

Tariffs might offer temporary relief to a few sectors, but they cannot restore technological leadership, industrial dynamism, or export competitiveness. Recent experience in the US reinforces this view: while Chinese exports to the US have fallen, this redirection of trade flows has not been accompanied by an American industrial renaissance. Production instead shifts to third countries, while higher input costs weigh on downstream industries.

The challenge for Europe today is not to shield itself from Chinese exports, but to remain competitive in spite of them. To this end, it should increase investment in innovation, pursue greater integration of the Single Market, work to lower energy costs, and pursue policies that strengthen its ability to compete globally.

Where China raises genuine security risks—such as through its dominance in critical minerals or other strategically important products—targeted measures like stockpiling, supply-chain diversification, and expansion of strategic reserves are justified. But these are exceptions. For the bulk of European industry, success will depend not on keeping Chinese products out, but on ensuring that European products are still in demand globally.

33. The Iran War Is Fueling a Global Debt Shock

Author: Unknown Author | **Date:** Jun 4, 2026 | **Original:** <https://www.project-syndicate.org/commentary/iran-war-price-shock-global-debt-shock-by-moussa-faki-mahamat-2026-06>

N'DJAMENA—As everyone knows, the war in the Middle East has caused a sharp spike in oil, gas, and food prices, creating severe economic hardship worldwide, and especially in developing countries. But less well understood is the war's effect on government borrowing costs. Across the Global South, what began as a price shock has morphed into a debt shock.

The seeds of the current crisis were sown during the period of low interest rates in the 2010s, when low- and lower-middle-income countries borrowed heavily in dollars. Many invested these funds productively and reaped the rewards of stronger economic growth. But after the COVID-19 pandemic, global interest rates rose and the US dollar strengthened, making borrowing significantly more expensive.

By 2023, developing countries' combined external debt had reached \$11.4 trillion, representing 99% of their entire export earnings. Total interest payments were 26% higher than they had been just two years earlier, and an unprecedented 54 countries—nearly half of them in Africa—were committing at least 10% of their government budgets to interest payments. Last year, UN Trade and Development (UNCTAD) calculated that 3.3 billion people were living in countries that spent more on debt payments than on basic services such as health or education, and the situation has only grown worse since then.

After COVID-19, many countries did shift toward local currency borrowing to mitigate exchange-rate risks. But now they face higher interest rates as a result. At the end of March, the International Monetary Fund identified nine countries as being in debt distress, with an additional 23 at high risk and 28 at “moderate” risk. That is no small matter. Debt distress means that you are unable to pay your creditors, because you are either already in default or being kept out of default only with IMF support.

The energy shock triggered by the Iran war has further increased borrowing costs, particularly for energy-importing countries, and this trend may persist if current geopolitical tensions continue. Making matters worse, there have been broader structural shifts in the global debt landscape, owing to the changing composition of creditors and upcoming repayment peaks for certain types of debt, notably bilateral lending. These trends have left countries with large near-term refinancing needs especially vulnerable.

What can be done? First, the IMF should go into full crisis-response mode. Reviving instruments such as the Food Shock Window and expanding access to emergency financing would help countries cope with the immediate pressures.

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Second, multilateral development banks should scale up disbursements, as they did during the pandemic. They are currently sitting on significant retained earnings, and recent reforms to their capital-adequacy frameworks have given them more lending capacity.

Third, bilateral creditors should continue to accelerate debt restructuring processes. Recent improvements under the G20 Common Framework have enhanced coordination, but implementation remains too slow relative to the scale and urgency of current needs.

Fourth, these approaches to debt treatment should continue to evolve. Further efforts are needed to ensure faster and more coordinated outcomes across all creditor groups. Although private creditors are already part of restructuring processes, coordination challenges and delays continue to prevent timely resolutions.

More broadly, there has been much international debate about how to improve arrangements for sovereign debt. One popular idea is "debt swaps," in which a country secures refinancing conditional on investment of some of the proceeds in nature-based solutions, climate-change mitigation/adaptation, health, education, or other development-related projects. Another is the "pause clause," which allows a country to suspend debt payments following an extreme weather event or other disaster. In a promising development, some private creditors are now signaling their willingness to include such clauses for more general contingencies if governments offer greater transparency about their financial situation.

Moreover, the World Bank and the IMF are in the process of reforming their Debt Sustainability Analyses to account for the risks of climate impacts and nature loss, and for the benefits of mitigating them (and some countries are also conducting such analyses for themselves). Under UNCTAD, a new Borrowers' Platform has been launched to help debtor countries share best practices and speak with a stronger collective voice. And the recent Africa Forward Summit, co-hosted by Kenya and France, featured lively conversations about organizing new debt initiatives. Everyone acknowledged that the new international situation calls for new responses.

Unfortunately, for all the promise of debt swaps, pause clauses, and other innovations, such measures are unlikely to be sufficient or be scaled up fast enough to address the current shock. It is rare nowadays for a country to default outright; instead, most are forced to cut investment in their own development. Yet we know that early engagement with restructuring mechanisms can help restore fiscal space more effectively than delaying action or relying on costly short-term financing.

During the COVID-19 crisis, coordinated international action allowed countries to suspend debt payments to protect their populations. A similarly ambitious response is needed now. Once again, a global crisis is disproportionately burdening countries that did not cause it. The international community has a duty to respond.

34. Democracy vs. Data Centers

Author: Unknown Author | **Date:** Jun 3, 2026 | **Original:** <https://www.project-syndicate.org/commentary/china-shows-why-america-should-not-rush-to-build-more-data-centers-by-angela-huyue-zhang-2026-06>

LOS ANGELES—Hardly a week goes by without news of another American town or city pushing back against a proposed AI data center in its backyard. Residents worry about the rising electricity costs, excessive water consumption, noise pollution, and other burdens their communities will have to shoulder to sustain these power-guzzling behemoths.

With AI's insatiable demand for computing power fueling a nationwide data-center building spree, the backlash is rapidly gaining momentum. A recent Gallup survey finds that seven in ten Americans oppose building AI data centers in their local communities. Hundreds of related bills have been introduced in state legislatures this year, and lawmakers in at least 11 states have proposed moratoria on new construction while they study projects' potential impact.

Meanwhile, tech executives warn that if data-center construction in the United States is slowed by local opposition and regulation, China—aided by lower energy costs and a more permissive regulatory environment—will win the race for AI supremacy. But although Chinese developers face little institutional resistance to such projects, it is far from obvious that China's aggressive expansion has given the country a decisive edge.

If anything, China's experience should serve as a cautionary tale for countries rushing to expand AI infrastructure. China's data-center boom shifted into high gear in 2022, after the country's state planner launched the ambitious Eastern Data, Western Computing project. The logic behind this initiative seems straightforward: shift computing resources from China's densely populated eastern provinces, where demand is concentrated, to western regions in which land and energy are abundant and less expensive. China has also promoted "green" computing by relying heavily on renewable energy to power many of these facilities.

But while the logic of central planning may be compelling, implementation has run into a series of practical constraints. Many of the most valuable AI applications—including real-time inference, financial services, and chatbots—depend on low-latency computing, limiting the extent to which workloads can be shifted to remote data centers.

Western China has vast renewable-energy resources, but wind and solar power are inherently intermittent, storage remains costly, and long-distance transmission poses significant challenges. Yet local governments, eager to capture a share of the AI boom, have continued to offer generous subsidies for new projects, often without fully accounting for these bottlenecks.

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The result has been a growing mismatch between supply and demand, with many facilities operating well below capacity. Utilization rates at some western data centers are estimated to be just 20–30%, while demand for computing power remains concentrated in densely populated coastal provinces. Contrary to the prevailing narrative in the West, China's abundant energy resources and rapid data-center construction have not translated into dramatically lower electricity costs for AI firms.

Given the short life cycle of AI chips, unused infrastructure can become outdated surprisingly quickly. Even underutilized facilities are expensive to maintain, and local governments must also contend with the growing volumes of electronic waste generated by aging equipment. In response to mounting overcapacity, China reportedly canceled more than 100 data-center projects between the start of 2024 and mid-2025.

Given the inefficiencies and distortions produced by this top-down approach, China's experience offers several valuable lessons for Western policymakers and tech leaders.

First, delays caused by local opposition can impose greater discipline, forcing developers to answer basic questions they might otherwise avoid: Who will use this facility? Will there be sufficient demand over the long term? What happens if the project fails to generate enough revenue to justify the investment? Such scrutiny can help prevent the formation of an AI infrastructure bubble.

Second, local opposition gives ordinary citizens a voice. Thus far, Americans have had little influence over how AI systems are trained, which products are released, or how knowledge work should be automated. Their ability to challenge data-center projects is one of the few forms of leverage they have against the companies driving the AI revolution.

Last but not least, slower AI deployment may act as a buffer against social disruption. Leading AI firms are pushing for ever-greater computing power because lower costs accelerate adoption. But faster adoption can also accelerate job displacement and widen inequality before institutions, policymakers, and workers have time to adapt. The US, already grappling with widening economic inequality, growing social fragmentation, and deepening political polarization, will need time to absorb a technological shock of this magnitude.

To be sure, the pendulum could swing too far, leaving the US without the computing capacity it needs to remain competitive. But in a democratic society, the ability to oppose policies and projects that affect one's community empowers ordinary citizens. In doing so, it reduces the risk of wasteful investment, limits environmental harms, and curbs speculative excess.

The speed of AI adoption should not be the sole measure of a country's strength. Americans should be able to decide, openly and collectively, what is worth building, where it should be built, and at what cost.

35. The AI Economy's Permanent Underclass

Author: Unknown Author | **Date:** Jun 2, 2026 | **Original:** <https://www.project-syndicate.org/commentary/ai-boom-threatens-to-leave-billions-of-people-behind-by-kenneth-rogoff-2026-06>

SAN FRANCISCO—The San Francisco Bay Area is in the midst of an AI frenzy that makes the California Gold Rush of the mid-19th century look like a scavenger hunt. Top programmers and developers are being offered compensation packages worth hundreds of millions of dollars to switch firms, while young engineers lucky enough to have joined leading AI startups early are contemplating retirement before age 35.

Driving up the Bayshore Freeway from San Francisco International Airport into the city, you pass hyper-specific billboards advertising obscure AI applications seemingly aimed at absurdly niche audiences. How can that possibly be profitable? The answer is that in a city crawling with startups, getting the right software product in front of a founder whose company could soon be worth billions of dollars is far more lucrative than using billboard space to sell burgers or laundry detergent.

Yet beneath the frenzy lies a palpable anxiety, as members of this young super-elite fear that their startups may not be the ones to win the AI sweepstakes. Failure, in their eyes, means being left behind while AI automates large swaths of white-collar work—especially coding jobs, which until now have been a veritable license to print money—and falling into the ranks of the permanent poor.

Though economists still debate whether AI will destroy jobs or create them, the prevailing mood in Silicon Valley is far more pessimistic. Either your startup makes it within the next five to ten years, the conventional wisdom holds, or you'd better pray the government provides a generous universal basic income.

Despite US President Donald Trump's efforts to pull Silicon Valley into the MAGA orbit, American-style progressivism continues to dominate Bay Area culture. Most of California's young tech strivers still see themselves as dyed-in-the-wool progressives—enthusiastic supporters of taxing the rich, at least until they become rich themselves.

Yet for all their virtue signaling, Silicon Valley elites seem strangely oblivious to the fact that the vast majority of people left behind by the rise of AI will not live in the United States. Nor will they live in countries that have secured a place in the AI supply chain, such as South Korea, Japan, and Taiwan.

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While South Korean firms like Samsung and SK Hynix have become trillion-dollar giants on the back of AI's insatiable demand for advanced memory chips, Europe has produced far fewer success stories.

ASML, the Dutch firm that holds a near-monopoly on the high-end lithography machines needed to manufacture the world's most advanced semiconductors, is a rare exception. The picture is even bleaker in Africa and Latin America, which have yet to produce anything remotely comparable.

Countries that fail to carve out a place for themselves in the emerging AI economy risk ending up on the losing side of this century's most consequential economic transformation. With no windfall profits to redistribute and no surge in tax revenues to finance universal basic income, they could find themselves with no way to cushion the shock of mass job displacement.

This is not simply a story of political incompetence or lack of ambition. How can African firms compete when hundreds of millions of people across the continent still lack access to electricity, the most basic prerequisite for AI infrastructure? And how can Latin American countries finance massive investments in data centers when savings rates remain low and a history of recurring debt crises continues to deter foreign capital?

To be sure, some African and Latin American countries stand to benefit enormously from AI's voracious appetite for minerals like copper, rare earths, lithium, nickel, cobalt, gallium, and germanium. Chile, Peru, and Mexico are obvious candidates, but even the cobalt-rich Democratic Republic of the Congo could reap substantial rewards if its brutal civil war ever subsides.

Natural-resource wealth, however, has often proven to be as much a curse as a blessing. Mineral-rich countries may find themselves flush with AI-driven revenues and still lack the political and economic institutions needed to spread the gains across society.

India, meanwhile, faces a very different set of risks. With AI devouring mid-level white-collar workers like plankton, India's vast outsourcing industry could be among the hardest hit. Given its deep reserves of creative and technical talent, India could still emerge as one of the major winners of the current tech race, alongside the US and China. But the country has struggled to harness that potential at home, allowing many of its brightest minds to migrate to California. Trump's immigration crackdown may slow that brain drain, though whether that ultimately benefits India remains an open question.

China, for its part, is already an AI powerhouse. But even there, the government is only beginning to grapple with the implications of AI-driven job displacement. Even if the country wins the AI race, maintaining social stability could prove difficult without expanding the social safety net.

The US may be more dynamic, but it is hardly better prepared for AI's likely impact on labor markets. To avoid deepening social fractures, it will need to find ways to distribute the benefits of AI more broadly rather than allowing them to remain concentrated in the hands of a small group of first movers and tech billionaires.

But the danger is not confined to national borders. AI threatens to widen the gulf between technological winners and losers, enabling wealthy countries to reap the rewards while consigning billions of people across the developing world to fall ever further behind. No one really knows what such a world would look like, let alone how to keep it from tearing itself apart.

36. Why Isn't Europe Poorer Than the US?

Author: Unknown Author | **Date:** Jun 1, 2026 | **Original:** <https://www.project-syndicate.org/commentary/european-living-standards-will-not-stay-high-without-innovation-krugman-aghion-debate-by-dalia-marin-2026-06>

MUNICH – The Nobel laureate economist Paul Krugman has kicked off an important debate by questioning whether Europe is really in decline, as former European Central Bank President and former Italian Prime Minister Mario Draghi argued in his 2024 report on European competitiveness.

In several commentaries, Krugman shows that when relative European GDP is measured at current PPP prices (that is, GDP adjusted for differences in countries' overall price levels), rather than GDP per capita at constant prices, Europe is holding up well relative to the United States. Europe should therefore not be overly concerned about technological inferiority and instead appreciate the standard of living it has achieved. If we want to know who enjoys a higher standard of living, the relevant measure is the purchasing power of income—namely, GDP per capita at current PPP prices.

According to this measure, Europe is performing as well as the US. But, as Krugman himself points out, this raises an empirical puzzle: how can Europeans enjoy the same standard of living as Americans despite significantly lower productivity growth, as reflected in lower per capita GDP growth at constant prices?

GDP at constant prices captures productivity growth over time because it measures the volume of output produced per hour worked. As Draghi emphasized, US productivity growth has been driven primarily by Silicon Valley. The US produces and consumes the leading high-tech products, whereas Europe largely consumes them without producing them. If Silicon Valley is excluded, the productivity gap between the two regions largely disappears.

But the London School of Economics economist Luis Garicano responded that Krugman's argument is flawed because it neglects the positive spillover effects of innovation in Silicon Valley, reflected in substantially higher wages throughout the economy than comparable workers in Europe receive. Nobel laureate economist Philippe Aghion, Antonin Bergeaud of HEC Paris, and Garicano further argued that Krugman relies on the wrong measure of productivity.

But does it really matter for Europeans' standard of living where innovation occurs? Innovation certainly matters for economic growth, but not necessarily for a country's standard of living. The goods produced in Silicon Valley have become steadily cheaper over time due to domestic and international competition, which forces IT firms to pass productivity gains on to consumers in the form of lower prices.

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As a result, the purchasing power of European consumers has risen alongside that of US consumers. Europe has benefited from adopting technologies developed elsewhere. Krugman's "paradox" is resolved: Europeans produce less per hour worked compared to Americans, but their income can nevertheless buy just as much because Europeans have benefited from trade with the US.

This argument is supported by the seminal work of Gene Grossman of Princeton and Elhanan Helpman of Harvard examining the determinants of economic growth and welfare in countries engaged in worldwide innovative activity. A country that falls behind in innovation, such as Europe, may lose an ever-growing share of world markets, and its growth rate may decline as international competition eliminates the duplication of innovation efforts. Yet despite slower growth, the lagging country may still gain in terms of economic welfare, because international competition among firms with monopoly power ensures that consumers benefit from innovations taking place in the more innovative country.

In short, European consumers can enjoy all the benefits of the products invented in Silicon Valley. Large monopoly profits for US firms do not alter this conclusion, so long as IT prices decline as much in Europe as they do in the US, which they largely do.

But Europe does need to worry about economic growth. Its largest economy, Germany, has been stagnating since 2019, as measured by GDP at constant prices. Germany's weak economic performance has far more to do with China than with the US, despite US President Donald Trump's tariffs. The turning point in Germany's economic fortunes roughly coincided with China's rapid growth in technological capacity and meteoric rise in high-value exports, reflected in its position as a global innovation leader in green and digital technologies.

This has hit Germany hard because China is now challenging several of its most R&D-intensive sectors, including automobiles, machine tools, and chemicals. With Germany losing global market share to China in precisely these core industries, economic growth has come to a standstill. If this continues, Germany—and Europe more broadly—may lose out not only in terms of innovation, but also in terms of living standards, despite benefiting from cheaper imports of Chinese electric cars and machine tools.

Economic growth depends on the amount of inputs, such as labor and physical capital, that an economy employs to produce output. American GDP per capita is higher in part because Americans work more. Germany's labor input, by contrast, is low compared with other countries: employees work about 1,350 hours per year on average, compared with 1,500 in France and 1,800 in the US.

Concerned about falling living standards after seven years of economic stagnation, German authorities plan to increase the number of hours worked. In particular, policymakers want to strengthen incentives for women's participation in the labor market by removing tax advantages that encourage mothers to stay at home.

This has some logic. Average annual hours worked are relatively low in Germany because many women entered the labor market through part-time employment. While this increased labor-force participation, it reduced the average number of hours worked per employee. Germany has one of the

highest labor-force participation rates in the OECD, but its average annual working hours are among the lowest.

Unfortunately, increasing labor input is unlikely to be enough to revive Germany's economy. By far the most important determinant of long-term economic growth is a country's ability to innovate and generate new ideas. Yet Germany risks losing precisely those industries that have historically driven its economic success to China, where much of the recent innovation in these sectors has taken place. Not only is economic growth (GDP per capita at constant prices) at stake for Germany and Europe; so is their standard of living (GDP per capita at PPP prices).

The debate launched by Krugman ultimately highlights the distinction between economic growth and economic welfare. Europe has so far been able to maintain living standards despite lagging behind the US in innovation, largely because globalization has allowed European consumers to benefit from technological advances developed elsewhere.

But this advantage cannot be taken for granted indefinitely. As Germany's experience illustrates, a prolonged loss of innovative capacity and industrial competitiveness can eventually translate into slower growth, weaker incomes, and declining living standards.

Increasing labor supply may provide a temporary boost to output, but it cannot substitute for the creation of new technologies and industries. Europe's long-term prosperity depends not on working more hours, but on restoring its ability to innovate and compete at the technological frontier.

37. The Real Choice Confronting Developing Countries

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BENGALURU—In a recent commentary, Dani Rodrik, one of the world’s leading experts on the economics of trade and development, explains why he became a “manufacturing skeptic” after decades of seeing industrial production as the key to unlocking economic growth. Since traditional manufacturing cannot absorb the 1.5 billion workers “in occupations that neither require university education nor are exposed to the international economy through trade or offshoring,” services-led growth models must take center stage. Expand the opportunities in retail, hospitality, and food service, and middle-class consumption will drive productivity gains.

But largely missing from this analysis is the potential for AI-augmented gains in human productivity. Look around the world and you will find AI already quietly increasing productivity in labor-absorbing services in ways that neither require nor assume university education. This trend is especially apparent in India, which offers a path toward reconciling “manufacturing skepticism” with African and South/Southeast Asian policymakers’ persistent desire to industrialize.

India’s services-driven growth reflects more than an expansion of its retail and hospitality sectors. Algorithmic tools have fundamentally reshaped operations through inventory optimization, dynamic pricing, demand forecasting, and supply-chain coordination. As a result, a formal retail operation in Bangalore or Mumbai today is fundamentally different from a 1990s shop, not because the employees are more educated, but because algorithms have made them more productive.

The same dynamic can be found even at the level of street vendors and other micro-enterprises. With platforms like Flipkart B2B and JioMart offering informal merchants AI-powered demand forecasting and procurement optimization tools, a small vegetable vendor with only a mobile device can anticipate what customers will want, stock accordingly, and capture margins that were unavailable just five years ago.

Consider a parallel to another moment in industrial history. In the 1960s, a textile worker in South Korea produced probably 50 times more cloth than his Indian counterpart, not because he was any more capable, but because the loom was better. Now, AI does the same for street vendors, retail workers, and smallholder farmers. The big difference is that such tools can be made far more accessible. They are much easier to deploy than factories, and they work with existing informal structures, rather than requiring a wholesale industrial reorganization.

One implication of this difference is that it may not matter that 1.5 billion workers will remain in non-traded, low-skill occupations. Even if broad occupational patterns persist, productivity can grow. We already know that a smallholder farmer equipped with a digital agronomic adviser in East Africa or South Asia can realize average productivity gains of 30% without additional land or formal education.

A vegetable vendor using simple AI tools for inventory and price optimization can double her earnings in 18 months.

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The main constraint on productivity growth is not technological but institutional. Getting new tools into workers' hands requires localization in native languages, accessibility without advanced digital literacy, business models that can be sustained with micro-margins, and integration with informal financial systems.

Crucially, policymakers must also ensure that these systems are built on inclusive open-access architecture. If dominant e-commerce platforms use predatory fees to extract the surplus value generated by inventory optimization, the street vendor's hard-won margins will simply shift to corporate balance sheets. Checking all these boxes may not be easy, but it is feasible.

Similar findings apply to manufacturing. Although competing for a spot in modern global manufacturing value chains requires sophisticated skills, AI is fundamentally altering the equation. A garment factory no longer needs 500 multi-skilled workers; it needs 50 workers augmented by computer-vision quality control, demand-driven production planning, and logistics-optimization systems. One can already find such operations in Bangladesh and Vietnam.

To be sure, skeptics will point to the immediate displacement of the remaining 450 workers. But one must not overlook the broader economic transformation that will have been set in motion. As hyper-productive factories expand their output and lower unit costs, they catalyze a vast ecosystem of non-factory jobs—from upstream supply-chain coordination to downstream distribution—that can re-absorb labor at scale.

The productivity paradox that Rodrik identifies—the fact that expanded manufacturing employment no longer goes hand in hand with productivity growth—is real but not insoluble. When small-scale, informal manufacturers gain access to AI-enabled quality control, supply-chain coordination, and just-in-time planning, they can reach productivity levels formerly available only to large integrated factories.

Mexico's weak economic performance under NAFTA supports this argument. The problem is not that Mexican manufacturers could not compete, but that technological diffusion failed to reach small-scale and informal operations. Factories expanded, but without the right tools and platform technologies, workers remained trapped doing low-margin assembly.

The same technologies can lower the human-capital requirements in many other sectors. While it is true that India owes much of its success in services-led growth to its large English-speaking population and early IT infrastructure investments, similar models can be replicated elsewhere. Thanks to advances in AI translation, you do not need English-speaking engineers to deploy digital agriculture tools where people speak Amharic, Swahili, or Telugu.

Thus, whether services-led growth is more feasible than industrialization in poor countries is beside the point. Feasibility depends only on the availability of productivity-enhancing mechanisms. In the 20th century, that meant access to industrial machinery. But today, it means access to AI tools that operate in local languages, work offline, and cost pennies per transaction.

Widespread use of such tools will not happen automatically, of course. Most AI investment today is concentrated in high-skill, high-wage economies. But this reflects policy choices, not some economic law. The question for policymakers is whether they will treat localized, affordable AI for informal workers as infrastructure—like rural electrification or highway systems—or as a luxury good for the wealthy.

If developing countries invest in making AI and related digital tools as widely available as possible, manufacturing- and services-led growth can coexist. A farmer using AI to improve yields can achieve a middle-class income without leaving agriculture, and a street vendor can do the same without joining a large, organized firm.

Manufacturing need not be the growth engine; it simply needs to coexist with AI-augmented formal and informal services. This vision may be less romantic than the East Asian industrialization narrative, but it has the advantage of being achievable right now. The main challenge is to implement a deliberate, inclusive AI-enabling strategy of infrastructure investment. The best way to lift up those 1.5 billion people is to meet them where they are.